Welcome and Thank You

Thank you for choosing to invest your educational dollars with us. The Reach Returns team takes seriously its mission to provide high-quality real estate seminars and educational products.

Foundations for Freedom is the essential complement to ***Wisdom for Wealth***. Now that you have the strategy, sharpen your pencils for a day of structuring the deal. This study guide is the nuts and bolts of:

- Purchase and Sale Agreements
- Promissory Notes
- Deeds of Trust
- Substitution of Security
- All-Inclusive Trust Deeds
- Options and Lease Options
- Life Estate Acquisitions

You will learn the differences between these financial instruments and why you should care. You will write the paperwork so you have the tools to take a deal from initial contact through closing.

You will also learn about a variety of financing options: alternative sources, unsecured lines of credit and how to package your life to get a loan. You will become fluent in clauses that will set the stage for future flexibility and profits.

Foundations for Freedom is a tactical series based on the strategy of ***Wisdom for Wealth***. As such, we highly recommend you attend ***Wisdom for Wealth*** prior to ***Foundations for Freedom*** to achieve the highest return for your investment.

Our goal is to make you proficient and self-sufficient. We teach what Greg's mentors taught him—solid, enduring principles. There is no magic to the process. It takes professional

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commitment to education and dogged persistence. Our job is to help you understand these core principles, and how to apply them. Each real estate transaction is unique; no "one size fits all" formula applies to every situation. The core element to success is customizing a deal to meet the seller's needs, as well as your own. Learn and apply the principles we teach and you will grow wealthy financially, but more importantly, wealthy in the vitality of your life.

While this is a great study guide, we hope you will consider enrolling in an upcoming Power Players Intensive, Reach Returns' premiere training program. During the three-and-a-half-day intensive seminar, Greg will lead discussions and then follow up with practical hands-on exercises. This training methodology has led to an incredibly high success rate among Power Player students. Many have reported huge success in defining and achieving their personal goals and improving their relationships. Alumni of the Power Player Intensive program have access to the full network of Power Player students through exclusive gatherings and online forums. Power Players Intensive is world-class education.

Congratulations! We are excited that you have decided to take this incredible journey with us.

Welcome aboard!

Greg and the Reach Returns Team

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About Greg Pinneo

Gregory Pinneo

Gregory Pinneo is a Northwest native and a graduate of the University of Washington. For more than thirty years, Greg has been a full-time real estate investor and has become a recognized industry expert in acquisition, finance, negotiation, and property management. Greg's personal portfolio has included the purchase of more than 500 units in over 200 different buildings. In addition, he has conducted more than 500 brokerage negotiations. Greg has created a system that in more than thirty years of investing has never lost him money on a real estate transaction.

While actively engaged in growing both his business and his real estate portfolio, Greg taught real estate investing for Seattle Pacific University for four years. As an educator and ad hoc advisor, Greg teaches strategies for success, effective techniques, and productive practices. He shares lessons learned that have proven enormously valuable throughout his career.

Greg has a passion for "giving back" to the profession and people in his life. He has been a keynote speaker for numerous local high schools, universities, and business and community organizations. In these engagements he gives entrepreneurial insights, motivational speeches, and commencement addresses.

Greg's diverse experience and willingness to share his full life journey set the stage for a very unique message, including the highlights of creating an extraordinary entrepreneurial empire, the adventure of summiting some of the world's highest mountain peaks, and the challenge of

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spending several months in a prison cell. Greg's life story is one that entrepreneurs and students alike find unforgettable. He hopes that by communicating his life lessons he can help others avoid pitfalls and face their personal challenges with ethics, hope, and encouragement.

Greg is highly sought after as a professional speaker by real estate organizations and other private entities throughout the United States, Canada, Mexico, and the Caribbean. He is well respected for his experience, professionalism, and incredible ability to teach, motivate, and inspire. A natural entrepreneur and motivator, Greg gives his audiences a perspective on developing a life-fulfilling strategy for health and happiness while achieving personal satisfaction and wealth. His students and seminar participants remain in touch and look to Greg as a mentor and friend.

Greg and Shauna own an equestrian center, Trilogy Farm, in Monroe, Washington, and are in the final stages of constructing a waterfront home in Edmonds. They also love spending time at a second residence in Arizona. Greg is passionate about his wife and five children, the outdoors, flying, scuba diving, golf, and good wine. He and Shauna are active supporters of Habitat for Humanity and Medical Teams International.

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Table of Contents

Thank You and Welcome 1
About Greg Pinneo 3
The Three Pillars 8
Start at the Beginning 8
Location 8
Terms 9
Expandability 9
Face-to-Face with Sellers 11
Listed Properties and Unlisted Properties 11
Wholesale, Not Retail 11
Getting Face-to-Face 11
When on the Phone 12
Underlying Encumbrances? 13
Equity 14
Why Is the Owner Selling? 14
The Answer Always Lies with the Seller 15
What Are They Going To Do with Their Money? 15
Negotiate in Their Residence 16
How Long Have They Been There? 16
Who Are the Legal Owners? 18
How Old Are They? 18
Buying Listed Property 19
Do They Really Need All Cash? 20
Underlying Encumbrances? 21
What Are They Not Telling You About the Property? 22
Case Study: Ranch Cabin 22
Keep Good Notes 25
It's What Keeps Me Interested 26
Other Resources 26
Determining Value 27
Comparative Market Analysis 27
Cost Approach to Value 27
Income Approach to Value 28
Net Operating Income 28
Capitalization Rate 28
Changes in the Cap Rate 29
Promissory Note 31
A Form for Every Reason 31
The Pinneo Note 32
Negotiation 33
Negotiable Terms 34
Terms Can Make or Break Your Portfolio 34
Price 34
Earnest Money 35

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Down Payment ... 36
When Do Payments Start? ... 36
Interest Rate ... 38
When to Close ... 41
Amortization ... 41
Cash Out / Balloon / Bullet ... 42
Closing Costs ... 43
What Goes with the Deal? ... 44
Collateralization ... 44
First Right of Refusal Clause ... 45
The Back Door—Contingencies ... 46
Substitution of Security ... 48
Moving at Will ... 48
Setting It Up ... 48
Harvesting the Corn ... 49
What Happens with the Cash-Out? ... 50
Some of the Best Notes Are on the Worst Properties ... 50
Sample Clause for Substitution of Security ... 50
More Information ... 51
Deed of Trust ... 52
Quit Claim Deed ... 52
Statutory Warranty Deed ... 53
Full Reconveyance ... 53
Partial Reconveyance ... 54
Partial Re-conveyance Case Study ... 54
More on Statutory Warranty Deeds ... 56
Deed of Trust ... 56
All-Inclusive Trust Deed ... 57
Setting the Sale with the Buy ... 57
Example 1 ... 58
Options ... 60
The Option ... 60
Option Example – Slow Dancing with Harry ... 61
Initial Situation ... 61
The Slow Dance ... 62
The Option Applied ... 63
The Lease Option ... 64
Sample of Escrow Instructions ... 67
When to Use It ... 67
Sample Assumptions ... 67
Some Items You May Need ... 67
How to Direct the Conversation with the Seller ... 68
What to Write on the Purchase and Sale Agreement ... 69
What to Write on the Maker and Beneficiary Blank Addendum ... 69
Financial Summary ... 69
Promissory Note ... 69

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Deed of Trust 70
What to Write on the Buyer and Seller Blank Addendum 71
Why Am I Including Some of These Optional Phrases? 71
What Else Might I Include 72
What Comes Next 73
Property Management 74
A Few Thoughts 74
The Annual Update 74
Keep it Clear 75
Know Your Landlord-Tenant Law 75
Walk In / Walk Out 75
Maintain Your Properties 76
Pay or Quit 76
Beds Have Legs—Tales from the Dark Side 77
Staggered Leases 78
Other Resources 79
Lease Agreement 94
You Can Do This! Commit to Yourself 99
Just One a Year Will Make a Difference 99
Hang On 99
Wrap Note Addendum 101

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The Three Pillars

Start at the Beginning

The first course in the Reach Returns series is ***Wisdom for Wealth.*** It is where your success journey begins. If you have not yet read the study guide or attended the seminar, please do not start with ***Foundations for Freedom***. ***Wisdom for Wealth*** contains the core principles for real estate investing—the vital building blocks. Like building a house, you need a solid foundation before you can start framing the walls.

Location

Do you remember the Three Pillars? They are location, terms, and expandability. It all starts with choosing properties in the right location. Location is critical! The defining quality of a great location is "romance" in a major employment center.

Everyone wants to experience romance in life and surroundings. Think about it, if your desire is to rent to good tenants and keep them in your building, then people must want to live there. They need a reason to live there beyond you offering a vacant unit that meets their budget. That reason is and will always be … romance. Ironically, it's the one factor many investors disregard because "romance" is subjective. It doesn't show up in a property analysis spreadsheet. That's why investors who buy non-romantic properties can't figure out why they must keep dropping rents to keep their buildings full. I have waiting lists. Don't ever underestimate the importance of the subjective when you are buying and holding real estate.

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In ***Wisdom for Wealth*** we talked about how we find romantic properties in a deliberate and proactive way, particularly unlisted properties. We discussed how to value those properties and I shared the formula I have used for three decades to ensure that I have never lost money on a property. Not even once.

Terms

Once you have chosen the right location and are ready to begin your property search, you enter the essence of ***Foundations for Freedom***. We will be working through how to structure a deal that meets the seller's needs perfectly but also meets your purchasing criteria. Creating wealth in your life requires fluent understanding of terms and how to negotiate. You will learn to make more money by negotiating good terms than you ever will by focusing on the sticks and bricks of the building itself.

Expandability

We will also study the expandability potential of a property, which is the frosting on the cake. Expandability means the ability to change the picture to add horsepower to your deals. Expandability can often be the key that unlocks the door to the viability of a potential deal.

City zoning rules are the premier component to expandability. For example, a single family home sitting on land zoned for multi-family buildings has huge expandability potential. This might allow you to pay full retail value for a single family home if you know in the back of your mind that the house is sitting on a twelve-unit site. Zoning opens all kinds of doors for assignments, options, adding rental units, increasing cash flow of existing property, and much, much more.

Back in the old days my office had a big meeting room we called the "war" room. It was about 1,000 square feet. On every outside wall of the room was every zoning map for my designated areas of hunting. My colleagues and I used colored pencils to highlight how the neighborhoods were zoned. Each had a different color. The level of demand in each

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area was obvious. Hunting for romantic properties in a good neighborhood is simply a function of supply and demand.

When you find a little house sitting on a site zoned for a fourteen-unit apartment building, you know that the land's highest and best use is not being maximized. The property has a high degree of expandability since you or a builder could develop the property and construct that apartment complex. You could purchase the property or assign it to a builder if you do not yet have development experience. (Side note: I highly recommend obtaining a general contractor's license if the process isn't oppressive in your state. Property development and construction are more about organization and communication than about swinging a hammer.)

Zoning is an important component of a property's expandability. Research your market area's zoning maps. Know what is possible.

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Face-to-Face with Sellers

Listed Properties and Unlisted Properties

Okay, let's assume you have chosen the right location and understand the potential zoning for your investments. Now we need to discuss terms—the meat, the structure, the bones of your deal.

For the purpose of this discussion, the real estate world is divided into two categories: listed properties and unlisted properties. Your focus will be going after unlisted properties.

Wholesale, Not Retail

Why do I want you to proactively seek properties that are not listed with a real estate agent? Three reasons: (1) to save paying a commission, (2) to enable you to purchase properties at a wholesale price, not retail, and (3) to speak directly—face-to-face—with the seller whenever possible.

Getting Face-to-Face

Meeting face-to-face with sellers is critical because it allows us to negotiate directly with the decision-maker so we can handcraft the terms of the deal. Only through direct communication with the seller can we negotiate a win-win transaction. I am tired of hearing training gurus condone what I call "drive-by real estate" where students are taught to avoid meeting the seller. In some cases, students are encouraged to have utter disregard for sellers. I teach how to arrange it so sellers receive everything they want and so does the investor.

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There are myriad reasons to meet face-to-face with sellers, the number one being to build relationships. The deals will unlock themselves when you develop a relationship with your sellers. Investors constantly cost themselves thousands of dollars by not taking the time to develop a relationship with sellers. Not only that, those "drive-by" investors will never experience what I call a "gimme" or a referral. It goes something like this:

"Hi Leona, my name is Greg Pinneo. Your friend Nell asked me to give you a call. I recently purchased Nell's home and she asked me to call you because you may be in a similar situation to her. Is there anything I can do for you to make your transition a smooth one?"

That's a "gimme." More often than not, I'm going to close that referral.

The world of listed real estate properties does a good job keeping miles between a seller and buyer. That's why I buy very few listed properties. I want the ability to sit down with sellers and talk to them, to understand their situation and what they want to achieve. I want to use my expertise to negotiate a handcrafted deal.

I like using a lump of clay as an analogy. There it is, on the table. Your job is to take the time to mold the clay into a work of art. Given enough time with a seller, the perfect deal will define itself. Using prescribed tactics and forcing a preconceived outcome is an absurd approach.

When on the Phone

Most communications with a seller begin on the phone. The sole purpose of the phone is to make contact and establish enough rapport so the seller will agree to a face-to-face meeting with you. At that meeting and thereafter, you need to convey confidence, strength, and complete professionalism as a real estate investor. While talking with a seller look for clues to help you structure the deal. You need to obtain several pieces of information from a seller by asking subtle questions. Keep the conversation casual and

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social. Avoid sounding like you are conducting an interview or using a memorized a script. You do not want to inadvertently create doubt in the seller's mind.

Often, the answers to your questions can be obtained through your own awareness, by paying attention to the seller's answers. Observe and search for information without saying a word. Keep the tone conversational, but probe to determine the reason underlying the seller's decision to sell the property. The purpose of your conversation is to obtain the facts you need to put the puzzle together. Purchasing real estate is a process of finding and turning over all the puzzle pieces and then putting them together to create a complete picture.

Underlying Encumbrances?

What are the underlying encumbrances on the property? Let's use a hypothetical scenario of a four-plex on which a seller owes $200,000, which is the amount of the underlying mortgage on the property.

- What kind of mortgage is it?
- Is it a bank loan?
- When did the seller obtain the loan?
- How old is the loan and is it conventional?
- Is it an FHA loan?
- What kind of loan is it?
- Is there a private note and deed of trust?
- Is there a promissory note secured by a first-position deed of trust?

You need to collect as much information as possible. Sometimes, verbally obtaining this information from the seller is enough. Other times, if you are serious about the deal, you need to pay for a preliminary title report on the property. However you discover the information, you must be aware of any underlying encumbrances. As we go down the line and start talking about ways to buy property, you will see why this is so important. But this sets the stage for what has to be done in the transaction.

Next, you determined that the property is worth $500,000. Depending on how much the seller owes, you have different options. There is a huge difference between owing

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$50,000 and owing $450,000. Once you know for sure, you can immediately start thinking of the various ways to handle the deal. You would approach the deal one way if there is an underlying $450,000 private note and deed of trust at 5 percent interest, another way if there is a hard money loan due in six months.

You can see for obvious reasons that understanding the underlying facts is absolutely critical to developing a solid deal. Knowing all the facts helps you determine what tools you will use and helps you understand the seller's motivations.

Equity

Once you are aware of the underlying encumbrances and the property value, you can easily estimate how much equity is in the property. Simply subtract the outstanding loan from the value. The difference is the estimated amount of equity. You haven't yet determined the amount you will pay, but you are formulating that … and much more … with each overturned puzzle piece.

Why Is the Owner Selling?

Why is the owner selling? The answer to this question is absolutely critical to successful negotiations. I have discovered no *one* reason people decide sell. Rather, people sell for hundreds of reasons and it is rarely about money. There is always an underlying emotional issue in their lives. When you identify that issue, the puzzle becomes easier to solve. Knowing a seller's motivation for selling and identifying what a seller is not telling you is even more important.

For instance, a seller tells you, "Well, you know, I've decided I want to retire…." You look at the guy and estimate that he is about thirty years old. I would not buy his story. There's another reason. Your job is to listen to what he is not saying. Asking questions is an effective technique for learning more. Often, as the seller answers your questions, the true reason becomes obvious. Other times a seller will tell you directly and sincerely.

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The Answer Always Lies with the Seller

The answer to the transaction and how it is structured always lies with the seller. You cannot walk into a seller's home and say, "Here's the way I do things. Take it or leave it." More often than not they'll leave it. One size does not fit all in the real estate world. Simply put, people who approach real estate investing without creativity—their way or no way—are lazy. Well-trained, serious investors like us learn to listen to sellers and keep asking ourselves, "What tool, what way of buying, fits this situation?"

We, as savvy negotiators, need to uncover all available means of agreement. But how do we do this? We scan the room we're in (if we're in their home), we analyze our seller's politics; predispositions; attitudes toward money, religion, gender; motivations; family; age; etc., and put them into a blender. This helps us determine our offer and, more importantly, the language in which we present our offer. So much goes on in presenting an offer. Believe me, it's not just a review of the contract specifics. Your language should match their personality and you should present your offer in a way that triggers and satisfies their emotional reason for selling. For example, "My offer will put you on the beach in Hawaii with your daughter inside thirty days, are you ready to just get it done and join her in the sun?" Solve their emotional issues and money will often become secondary. Okay, back to the puzzle pieces.

What Are They Going To Do with Their Money?

For the purposes of this discussion, let's assume they own some equity in the property. What are they going to do with the money? That's a fair question. Now, some will tell you, "It's none of your business." Well, okay. Others will say, "Put it in the bank, I guess." This should immediately register with you.

Asking this sort of question will on occasion open a can of worms. You won't believe some of the stories you will hear. But understand, none of this time is wasted. Everything you hear will influence your tool choice and your offer presentation.

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When do they need to move? Now, I can't tell you how many single family homes I've purchased where the reason they're selling isn't because they want to move. They like it here. They live here. They would like to stay here. They don't want to move but for various reasons, they need to sell or they perceive that they need to sell. I purchased a home in 1994 and the woman I bought the home from still lives there. She hasn't paid a nickel in rent. You are probably thinking, "How did that work?" That case study is in our audio recordings for ***Foundations for Freedom***.

Negotiate in Their Residence

On a side note, where does all of this discussion happen? Whenever possible it happens at the seller's residence. If this is a four-plex they own, who cares? We've studied the four-plex. We have already driven by it. We're at their home because as they're speaking to us we're scanning for puzzle pieces. Someone's home will write the book on him / her inside ten seconds. You can discover passions just by sitting in the home and having conversation about the four-plex, whereas if you were at the four-plex you might never identify the passion and therefore miss an opportunity to connect and find an emotional hot button. You're endearing personality will save you thousands if you can connect with your sellers. The best way to do this is to stay off the topic of real estate as long as possible. If you meet at the four-plex, everything will be about the mundane details of the real estate transaction. The conversations will be cold and fact-related; now it's a business decision without a relationship or a personality attached to it.

How Long Have They Been There?

How long have they been there? If they've lived in this property, let's just assume for the purpose of this discussion that we're trying to buy their single family home. (By the way, if you're talking to people about buying their home, it's their house or their residence, not their home. People don't want to let go of their home; it's full of memories are. Houses are sold all the time.) How long they've lived there will say an awful lot about them. What part of life has happened in this house?

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I remember walking through a house with this wonderful woman. It's a very simple three-bedroom rambler. You've all seen them. You walk into the living room and the kitchen is in front of you. Down the hallway, bathroom, bedroom, bedroom, bedroom, right? I mean your basic, 1,300-square-foot rambler… and we sort of do the grand tour. "Well, let's take a look at this house, shall we?"

On the fireplace mantle are pictures of all these kids. One in particular stands out, a picture of one of her kids who was obviously in the Army. There he is, full dress blues, looking as sharp as any man ever has, right there on the mantle. So, I know she has some kids. This gal is probably in her seventies at the time. We start to walk down the hallway. "Here's the bathroom." Of course, if you've seen one of these you've seen them all, but you always give people the courtesy of walking through their home if they want to show it to you. You never know, the funniest things can happen. "My grandfather put that shelf up on the wall." Well, guess what? You're going to sit and talk about that shelf for twenty minutes and about how nice that shelf is and how they just don't build them like that today. If you're in a hurry, you're not building a relationship; you're appearing insincere.

Back to the story. We walked down the narrow hallway covered in pictures and I reached to help her open the last bedroom door. She called out, "Wait! Don't. You can't go in there." And, right there in the hallway, this wonderful woman just lost it. She just started bawling. Well, sometimes this is what you'll deal with.

I said, "Claire, come on, let's just go back to the living room. Let's sit down." I put my arm around her and we walked back to the living room. She just sobbed. As I sat there, the mantle caught my eye. All of the sudden, I put the pieces together. That brilliant young man in the picture won't have any pictures as an older man. Her son was killed in action while serving his nation in Vietnam and that door has never been opened since. Period. Never. She cannot open that door. Do you think you're going to have to address that issue if she's truly going to sell this home? Do you think the local real estate broker has the edge on this one?

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We've got to work through this in a way that respects her and honors her son's sacrifice. You become part psychologist in situations like this. I'm not a good one, but I am a good listener.

These are things you're going to encounter. Why are they selling? How long have they lived there? Did they raise their children there? (That's a good question to determine how long someone has been in the house without seeming too inquisitive.) Understand, a great number of memories reside in some of these properties. You must be sensitive to those to develop a trusting relationship so they want to deal with you. You'll find joy in being respectful in your investing and you'll hear great stories and develop relationships like the one above. I can tell you, that incident made me a better person, without question … and if I followed the logic of screening everyone I never would have had the honor of meeting Claire. If you can do this honestly and sincerely then you will obtain those deals that other investors can't seem to make work. You'll answer great phone calls from other investors who ask, "Pinneo, how did you get that done? They told me flat out they wanted $40,000 more than what you paid."

Who Are the Legal Owners?

Who are the legal owners? I throw this out because if you're ever spending a lot of time with someone who appears not to be the real owner, you really need to meet the real owner. Often you'll receive a call from a kid. "Well, you know, I'm going to inherit this property, it's going to be willed to me." Well, you know, he's twenty-five or thirty. Don't waste a lot of time here. Make sure you're talking to the real owner of the property or the person/entity entitled to convey the title.

How Old Are They?

How old are they? You can usually figure it out on the phone. If the guy's thirty years old, I can tell you right now he hasn't owned the property for fifteen years. Right? Therefore, I can usually assume he doesn't own a lot of equity in the property. If he bought the property last year, I am going to want to know that. Keep in mind, though, that you just never know. It could have been willed to him, or he could have used a big

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insurance settlement to pay off his home.… The point is, you just never know. You're senses will become better and better at sniffing out the tire kickers.

Also, the age will give you clues about their values. What is their thinking is about money? I talk to many people who, if they have a block of principal—whether in the bank, a CD, a money market, or elsewhere—would object to drawing on that money because of their religious beliefs. They don't mind spending the interest and living off the interest, but touching the principal, that's sacred ground. They're afraid of depleting the principal. When that's gone, then all of a sudden they face a situation where they may need to ask somebody for something, and they don't want to do that.

Understand that it's a generational thing. A thirty-year-old person would have no problem spending the last dime of principal and then obtaining fourteen credit cards. Sixty-year-old people don't think that way. It's a different time in life and a different generation. You have to understand that some people, like my parent's generation, lived through the Depression. They won't spend their last dollar. They play it much more conservatively than the thirty-year-old generation. You need to understand those factors in order to handcraft this transaction. That's again why keeping buyer and seller apart on a listed property is just ludicrous.

Buying Listed Property

In a crowd of people, inevitably, someone always asks me about negotiating on listed properties. It's very difficult, because we live in a world of representation. The listing agent represents the seller and often buyers have an agent as well. People are paid to represent you. So a buyer's representative asks the listing agent, "Well, I'd like to know all these things about your seller." And the listing agent responds, "They'd like to keep that to themselves." You know what I mean. It's an adverse situation on day one.

Only two of the last one hundred properties I purchased were listed. One was a home we lived in for a while and the other was my wife's passion: an equestrian center. They were both listed properties. Oh, my gosh! I had forgotten how exhausting that experience is. I

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don't mean this as a critique on the whole real estate community, but a real estate license and the ability to fill out forms where you just check certain boxes doesn't mean you understand real estate. It's frustrating for me to deal in those areas because I'm asking questions and they don't even know what I'm talking about. So, why am I paying you?

All this isn't to say you can't work with Realtors; heck, I had a brokerage company for years. You just need to find the educated ones, the ones who actually own some investment real estate. Look at your local real estate associations for educated people. Then train them on EXACTLY what you are seeking. Certain transactions often lend themselves to working with real estate agents (multi-family, wrap notes, lease options, bank owned properties). If you need to work with an agent, it's always easier if they understand your approach to buying properties.

Do They Really Need All Cash?

What have you observed that they need? Sometimes they'll tell you one thing, but it's painfully obvious that they really need something else. Here's a typical scenario: An owner who wants to sell a multiplex says, "I want all cash. That's what I need. That's what I want." But when you dig deeper, the reason, in their mind, that they want all cash is to take the money, deposit it in the bank, and live off the interest. So do they really need all cash? They think they do because they no way other way to earn interest except to have cash in the bank. I know that sounds overly simplistic to you and me, but you won't believe how many people think that way.

The idea of being involved in the financing, earning triple the interest offered by a bank, and countering the capital gains issue by deferring the gain is a completely foreign concept. Heck, it's foreign to many "investors." It's up to you to understand their thinking and then help them see other options that will meet their goals as well as your investment criteria. The first step is for you to understand the way the seller thinks.

Sellers who want all cash because they're going to put the money in the bank to earn an interest income are very different from the sellers who say, "I'm selling this property and

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I'm going to do a 1031 tax deferred exchange because I'm buying a property three times this size."

That's a more sophisticated investor. That person knows he needs all cash. He's deferring. He is a different seller and you need to understand what's on the table in order to analyze the deal.

Underlying Encumbrances?

What annoys them about the property? People who have lived in a single family home forever have opinions. Ask them, "What bugs you about this property? Really. Be straight with me. Come on, we're having an honest conversation. What bugs you?"

"You know what, it's just become so irritating that every winter the basement floods."

You respond, "Oh! That would be annoying, very annoying."

Perhaps it is, "You know, every time I try to turn on the microwave and my radio on my counter at the same time, the breaker trips." It's your way of digging beneath the surface to discover idiosyncrasies of the property.

Just as important is the question, "If you were to keep this property, what would you do?"

"Oh yes. We always wanted to do this, or probably that; if we could buy a foot of the neighbor's property then we could subdivide the lot…. Matter of fact, we already worked it out with the neighbor to buy it for $100; we never went through with it."

"Oh, really?"

Do you understand the importance of these questions? You've walked in and seen the property for twenty-five minutes. They've lived in it for twenty-five years. They've had a lot more time to think about the possibilities. But, be careful with some of these questions

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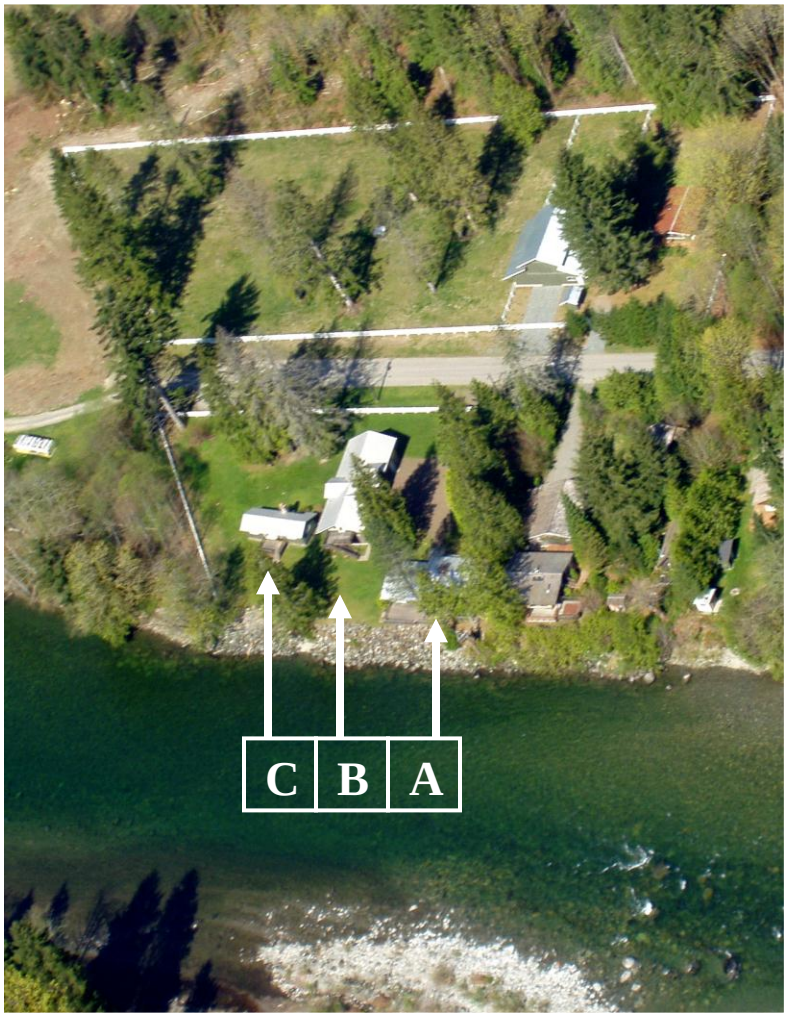
to avoid talking people out of selling. Always wind up with the more negative aspects of property so they don't begin to romance the idea of keeping the property.

What Are They Not Telling You About the Property?

You'll be amazed by what comes out of the conversation with the seller. We've already talked about emotional ties to the property. Did they raise their kids there? At the end of the day, they're trying to solve something in their lives. They have a motivation for selling this property; it is not just a whim. People don't just say, "Oh, I think I'm going to drink orange juice for breakfast and sell my property today." Bottom line, you need to understand their motivations and what they're trying to solve by selling this property.

I'll give you an example. This one is just for fun because it was a property of passion. It had nothing to do with investments. But, it's still a fun story and it makes the point.

Case Study: Ranch Cabin



I own a home (A) on a river in the mountains about an hour and half outside Seattle. When I bought it, a vacant lot came with it. Just down the river was a tiny little cottage that seemed like it should have gone with my lots because, at the time, there were no fences. When I bought the house I was in my twenties. I received a call from the

owner of the little cabin because he knew I worked in real estate. (On a side note, you only receive calls like this if everyone knows what you do.) Now, this call was a surprise because the owner rarely used the cabin, just for an occasional weekend during ski season. He said, "Listen, you know, we just moved out by Crystal Mountain and, consequently, I don't think we're going to be using our cabin very much anymore. I know you're in real estate, I just thought I'd tell you, we're going to sell it. You may know somebody who would want to buy it and you could earn a commission. Also, it's right next to you so maybe one of your friends would want to buy it."

I said, "Well, let's talk about that. How much do you want for the property?"

He said, "As you know it's kind of a hard one to analyze, but we've determined that it's worth $50,000." I didn't have any way of commenting on that, because they are difficult properties to assess.

"Okay, so beyond that, how are you going to sell it?"

He said, "Well, we need all cash because I've got some things I need to do with it."

Being the question asker that I want you to be, I asked him, "Why do you need all cash? What are you going to do with it?" At first he felt the questions were a little personal, but I told him, "The way I look at it is that if I buy this, I need to know why you want all cash because there are a lot of ways to go approach the transaction."

He said, "Well, just miscellaneous things. I mean the biggest thing is to buy another vehicle. We really need another vehicle."

"What kind of vehicle?"

"I had my eye on a Toyota Four Runner. I'm looking for a new one. We like to go skiing with our family and those are good rigs."

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“What’s your favorite color? I mean, be specific with me.”

“Well, I really hadn’t picked one out yet, but I’m a simple guy. I’d like black or white, something like that.”

“Do you have a year in mind?”

“I thought we were talking about real estate, not cars.” He then said, “I don’t know. I don’t want to buy a new one, but something fairly new, dependable, clean, and all that.”

“Okay, and then the rest of the money? You’re going to spend where?”

“Truly, that’s the main reason we want to sell. We’ll put the rest of the money in a CD and just have some money in the bank and let it give some interest income.”

I said, “Okay. I think I have a solution. When do you want to get together and we’ll do it?”

He says, “What do you mean you have it solved?”

I said, “Well, I think we’ve just done the whole deal.” I was kind of having fun with him because he seemed shocked by my response. “Actually, I think I’ve got it penciled out. Here’s what we’ll do. David, I won’t argue with your price of $50,000. If that property were on the market and listed with somebody, I think you could sell it for $50,000. I think that’s about right. So, I’d like to be the person who lists it and sells it. Generally, commissions are between 6 percent and 7 percent, but this is really out of the way and would likely require a 10 percent commission.”

“Yes, I’m aware of that. I’d pay 10 percent for a $50,000 offer.”

“Great, okay. Second, how does a 1989 white Toyota Four Runner with 30,000 miles sound to you as a down payment?”

“You’re kidding right”

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“No. I have one. It’s really a nice one. It’s been babied. I bought it new and it’s got 30,000 miles. It’s white with all the options. I think it’s worth about $10,000. How does that sound?”

“Sounds about right”

“There you go. I’m going to give you that as the down payment. Then the balance, we’ll just write on a promissory note. What’s the best interest rate you earn in your certificates of deposit, money market CDs? I mean, what’s the best?”

We rounded up and agreed that I would pay him the balance on a promissory note bearing 7 percent simple interest per annum. “I’ll just pay you monthly until you decide that you want it all due and payable.”

He decided that he wanted the remainder to be a long-term investment for his family. So we put it on interest-only with a twenty-year balloon.

It was that simple. I walked out of escrow and signed away the title to my car, which was credited as a $10,000 down payment. He paid me a $5,000 cash commission as the listing and selling agent. The balance of $40,000 was written on a promissory note secured initially by a deed of trust on a different piece of property.

Keep Good Notes

The point I’m making is this: As you spend time with the seller and ask a lot of questions, the deal becomes pretty clear. As a matter of fact, the best deals you’ll ever do are very simple and serve everybody’s purposes. Do you know that I still pay on that note to this day? I think I owe twenty-some thousand dollars and that note has moved more times than you would believe, because it’s a 7 percent note but with a small payment and they don’t want to be cashed out. Every time I refinance something, I call them and say, “You are on a property that I’m refinancing. That means you would be cashed out. Am I correct in assuming that you guys don’t want to be cashed out?”

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"No, no. Don't cash us out."

"Okay, now you're going to go to this property."

"Okay, fine. We don't care. Move us anywhere. Just don't cash us out. We like this interest. This is good."

It's What Keeps Me Interested

Seller analysis is the part of this sport that I have enjoyed more than anything. It is what has kept me in this arena for so many years. It's the challenge of structuring something that meets all of their needs and meets your objectives as an investor.

You develop these long-term relationships, especially on properties that are "keepers." Remember, two columns: Keepers and Flippers. One we are going to hold for the long haul. One we are just going to buy, fix, and sell. Now, just because you're going to buy and flip a property doesn't mean you won't have a long-term relationship with the seller. You may use the same terms—and you'll see in some case studies where the promissory note that we're writing simply gets collateralized by a different piece of property. So, although we may flip this one that we purchase from them, we maintain a relationship with them, because we pay them every month; it's just secured by a different piece of property.

Other Resources

If you would like more information on negotiating with sellers, please refer to *"Negotiations That Pay: Advice from Real Estate Maverick Greg Pinneo."*

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Determining Value

There are three methods that an appraiser will use to determine value: comparative market analysis, replacement cost analysis, and income approach to value. They all have very clear and different purposes.

Comparative Market Analysis

In a comparative market analysis the appraiser compares your property to others like it. This is based on the amount at which other properties like yours have sold in the last few months. The logic is that if others sold for this amount, yours should be similar. This is most often used with single family homes. This is also the process used by real estate salespeople and investors. Variances in bedrooms and bathrooms are often plugged into valuation formulas to come up with an amended value. This is a fairly inexact science because a property is worth what someone will pay for it. You may have an appraiser say, "Well, based on the comps, we're pegging it around $437,500." You may have a buyer willing to pay $500,000, so isn't it worth $500,000? This is often the tools most used by banks to, essentially, assess risk. Find an appraiser you like, who is fair and can see into the future. In other words, find an appraiser who can look at your project and see what it will be like when you're done fixing the property are ready to sell it.

Cost Approach to Value

This methodology asks the question, how much would it cost to buy the land and rebuild the structure that already exists based on today's construction market? It's basically a replacement cost. This may be what is used on your insurance policy to determine what your policy should be. If a fire destroyed your building, what would it cost to replace it with a similar grade of construction materials and architectural detail? That's the cost approach to value.

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Income Approach to Value

The third and the most used in income-producing property is the income approach to value. Here's how it works. You start with the gross income stream of the property. Let's use a scenario of a ten-unit building where the rents total $10,000 per month, or $1,000 per unit.

$1,000 Gross income per unit per month
x 10 Units
$10,000 Total Gross Income

Net Operating Income

Out of that number you take out approximately 30 percent to cover taxes, insurance, maintenance, utilities, management, and vacancy. In some unromantic neighborhoods, you might need to raise that to 40 percent or 50 percent, but we aren't buying there anymore. So 30 percent of $10,000 is $3,000.

$10,000 Gross income per month
x 30% Allocation for expenses
$3,000 Expense allocation

Once you subtract that from the $10,000 you get $7,000 which is your net operating income, also known as NOI.

$10,000 Gross income per month
- $3,000 % Allocation for expenses
$7,000 Net monthly operating income (NOI)

Now multiply $7,000 a month times twelve months and $84,000 is the annual net operating income.

$7,000 Monthly NOI
x 12 Months
$84,000 Annual Net Operating Income

Capitalization Rate

That net operating income will be divided by a capitalization rate. Understand that capitalization rates are sort of enigmatic. Essentially, they are an ever-changing number

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representing what an aggressive investor expects to receive as a return on his investment in today's marketplace. Capitalization figures are used on a national basis but what you want is the one for your area.

Let's say for the purpose of our discussion that the cap rate is about 7 percent. So we take $84,000 and divide it by 7 percent (.07).

$84,000 Net Operating Income
/ .07 Capitalization Rate
$1,200,000 Value of the Building Based on an Income Approach to Value

So stick this in your head: a building that collects $10,000 a month in rent, when assessed by the income approach to value, is worth approximately $1,200,000 today. That's $120,000 per unit, if we have the ten-unit scenario. Would I be interested in a building that has $10,000 a month in rent if I could buy it for $1,200,000? Yes, I would, all day long. I would want it especially if I saw something that somebody else didn't see there, something allowing me to increase those rents.

Changes in the Cap Rate

What happens when the Cap Rate changes?

- As the Cap Rate goes up, the value of the building comes down
- As the Cap Rate goes down, the value of the building goes up

Let's emphasize that point. Let's take the same gross rents, $84,000 a year. Now divide that by a nine cap.

$84,000 \ .09 = $933,333 (Valuation Based on the Income Approach to Value)

Now if I were to reverse it, say we're at a five cap right now, what is it worth?

84,000 \ .05 = $1,680,000 (Valuation Based on the Income Approach to Value)

You'll get a feel for this. It may take awhile if you have a math phobia but it will sink in. This tells us what normal buildings sell for because normal investors approach income property in this manner. It's market value. Read the ads, grab the paper, it'll say, "Pencils at a seven cap." Well, that's working it backward, meaning that it essentially is a 7

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percent return on your investment. Did I lose you? It's one of those odd things that people really struggle to understand when we talk about it at a live seminar, but when you read it and hear it, it seems to stick. If you have some issue around calculating this or understanding it, keep listening to it on the CDs and keep studying. Eventually a light will go on and you'll be shocked by how simple it really is.

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Promissory Note

A promissory note is essentially an IOU (I Owe You). If the owner will participate in some of the financing of the property then what you've negotiated with the seller will be filled out on a promissory note by escrow or your attorney.

A Form for Every Reason

There are many different types of promissory notes; interest-included notes, interest-included with a due date, etc. You'll be relieved to learn that you don't need to understand these very well, because escrow will use the right note based on what you tell them to do in your escrow instructions.

There are forms to literally do everything you instruct escrow to do. Remember in our purchase and sale agreement, we are getting together with the seller and writing up what we decide. We take that paperwork, once everyone signs it, and hand it to an escrow representative. Escrow will read your agreement and pick the promissory note that matches what you are doing. They will choose the deed of trust that most matches the heart of your agreement.

If you plan to add things, they'll literally type them on to the deed of trust, or onto the note. They match your intentions. You may have a deal with no payments and no interest for an undefined period of time. Who would ever do that? Well, I've included that in our case studies; no payments, no interest associated with the principal balance for an undefined period of time.

Is that a note with interest? It is not. Is that a straight note? Well, that also denotes interest. So, escrow will read this and know how to write it. The good news is you don't have to know the nuances of every single form. You need to be able to clearly outline the

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agreements you make with the seller so. Then, with the great relationship you have developed with your escrow representative, you sit down with your purchase and sale agreement and spend the time going through it in detailed. The rep will say, “Oh, it looks like we should use this note, and this deed of trust, although I am going to add this and this and this.” Because you’ve hand crafted a deal there isn’t anything pre-printed form to match your agreement.

The Pinneo Note

My escrow agent has a promissory note on her computer called the Pinneo note. I’m not joking. She has it because I typically write many of the same clauses in a lot of my notes. You will be writing those clauses, too. She tired of typing those clauses all the time so she just put one on her word processor specifically for my deals. She decided that my next purchase would be similar. She was correct. She may have to add or delete something, but in the long run she saved herself a lot of time.

Don’t get hung up about the appropriate legal language and the forms. You just need to know that what you’re creating makes sense for you, the deal, and the seller. Then take it to escrow and they will draft the final paperwork. You and the seller come in and sign; those become the legal documents that are recorded, and the transfer is done.

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Negotiation
Seller Analysis

Understanding the Basics

- **Value**
- **Encumbrance**
- **Equity**
- **First Position**
- **Second Position**
- **The Basic Components of a Deal – *"Everything is Possible"***

The Answer Is with the Sellers

WHAT ARE THEIR NEEDS?

What are the underlying encumbrances?
What is their equity?
Why are they selling?
What are they going to do with the money?
When do they need to go?
How long have they been there?
Who are the legal owners?
How old are they?
Do they need cash?
What do you observe that they need?
What annoys them about the place?
Does it look like they need money?
If they kept it, what would they do to it?
Do they have any emotional ties to the property?
Did they raise their kids there?
What problems of theirs can you solve?
Where do they want to move? Is it lined up?

LISTEN TO WHAT THE SELLER IS NOT SAYING

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Negotiable Terms

Terms Can Make or Break Your Portfolio

Markets have grown tighter and tighter as more and more publicity has spread about the strength of the real estate market nationally. The successes of investing in Las Vegas and South Florida prompted investors to plunge into the market like they did in the stock market during 1999 and 2000. I'm not implying there is a bubble, but I am concerned about inexperienced investors betting on continued appreciation. Drastic appreciation is protecting the folly of uneducated investors. The cyclical nature of real estate is one of ebbs and flows. The protection investors have against market fluctuations is the creation of terms that are handcrafted to fit your portfolio for the long term. Let's take a look some of those terms and how they create flexibility in your business.

Price

The importance of price varies greatly depending on the strategy. Many investors falsely believe they have to "steal" a property to find a transaction that works for them. It's a result of short-term thinking and the "get rich quick and easy" mentality. It's a lack of knowledge and it is about laziness. For the purposes of understanding price, we're going to focus on buy and flip and buy and hold. Price has more implications when we're talking about options, lease options, and other tools, but we'll discuss those when we discuss those tools.

Buy and Flip: In the buy and flip, price is the issue, without question. As a negotiator you need to learn to negotiate and fight for every possible dollar. Don't do it with blatant disregard for your seller but use the buy and flip criteria and stick to it. Negotiate hard with every aspect of this transaction, including contractors, real estate agents, remodeling products, etc. This is all real money. This is what we as investors go to Safeway on; it's

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how we provide for our family's needs. We'll never grow wealthy just flipping houses. We're only as good as our next deal. Each year we'll start over at zero. The differentiator in the flip world, because offers from other investors will be in the same ballpark, is often your character and your professionalism.

Buy and Hold: Price in the buy and hold transaction is far less important. The most important term in the buy and hold is cash flow, not price, especially in a rising economy. As savvy investors you'll learn that paying more can be your best asset in a buy and hold transaction. Think about it. If an investor has made an offer for $625,000 for a six-unit building in a solid neighborhood and you come in and say, "If we can get this done today I'll give you $650,000 as long as I have some say in the remainder of the terms." Still not sure if you buy into the idea that paying more could be better? Let's do some math. Which transaction would you prefer?

Four-Plex in Great Neighborhood

Property A	Property B
$450,000	$500,000
7% (Int. Only)	5% (Int. Only)
$2,625 / Month	$2083.33 / Month

Property B, while $50,000 is more expensive, offers a better cash flow by $541.67. This difference could be a deal breaker. It could take it from a negative to a positive. In eight years you will have made the additional $50,000 back and now you're making that extra cash flow each and every month. We'll talk more about the interest rate side of the equation in that section.

Earnest Money

Do you pay it directly to the seller or to escrow? Both, but it depends on your instincts regarding the transaction. If the earnest money agreement is low and the deal is great, you might consider driving the seller directly to the bank to deposit your check. As we all know, a legal real estate contract includes being in writing, signed by capable people, and consideration is given. Has consideration been given when the earnest money is sitting in

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an escrow account? Perhaps, but it's debatable. However, money deposited into the seller's checking account is not debatable.

Is it cash or is it in the form of a promissory note?

Down Payment

How much is the down payment? There is a strategy with every little detail. The amount of the down payment is often a negotiation tactic. While we don't want to write too big a check, we also don't want to give the impression that we can't close the deal. Make sure the down payment offer will at a minimum cover all the seller's closing expenses if the transaction is seller-financed. It's not reasonable to expect people to write a check to sell their property. If the deal is bank-financed, that finance package will likely dictate this so it will shift the negotiation standpoint more toward escrow funds. The time will come when you find the "perfect" deal, that property that you will want to hold forever more. The seller will want a significant down payment from you. Build up your investors and build up your credit lines so you will be able to perform.

When is it due and is it all due at once? A down payment can be in the form of a promissory note. A down payment can be delayed. It's all negotiable.

Is it monetary? The essence of a down payment is consideration, which could be many things. We just discussed a transaction where my car was the down payment. The point in analyzing all these details is to open your mind to realize that everything is negotiable and anything is possible.

When Do Payments Start?

Just because the check-the-box mentality of the real estate community has every payment beginning thirty days from closing, it doesn't have to be that way. If you're constantly using a bank then they are "slightly less flexible" than a seller could be. However, if there is a private note and deed of trust (or private mortgage), the payment start date is a great negotiating topic. To negotiate delayed payments, our proposition has to be logical.

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What would call for a delay in payments? Perhaps, it's because the duplex you are buying has a lot of damage and it's going to take sixty days to fix the building before you can put a tenant in there. If this were the case, wouldn't it be reasonable to request that interest begin accruing in sixty days and the first payment shall be ninety days from closing, and each additional month thereafter? How about if the seller wanted to remain in the property for a period of time after closing? When you take on a significant remodel you don't want the debt service to be an issue during the remodel.

You may even come into a relationship with an investor where interest is earned but not paid until the building sells. Many of our students, through learning to negotiate, have developed relationships with their investors whereby the investor loans the money to close the property (and occasionally to cover remodeling expenses) and earns non-compounding interest every month, but doesn't get paid the accrued interest until the property sells. This type of financing certainly alleviates the hassles and elongated timelines of a bank. Imagine what being able to close in a week and not make payments until the project was completed or sold could do for your business. You could find myriad reasons to negotiate your payment start date; you just need to be able to justify your position logically.

Note: *Please remember that interest is paid in arrears. This means that, generally, payments begin thirty days AFTER interest begins accruing. It is possible to have them off schedule but not very common. You need to be detailed in your instructions to your escrow rep or attorney. I read so many escrow instructions that state payments shall begin ninety days from closing … and that's all that's said! What about: When does interest begin accruing? If interest isn't being paid for a period of time, is it compounding, etc? We'll cover more of this in the interest rate section. My point is, just think it through and break it down into its components when you are writing your transactions. Missing something can unravel a great deal in a hurry.*

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Interest Rate

Ahhh … Interest rate. So simple and yet so powerful. Interest rates can cause markets to flare up or cool down just by changing a quarter point … and yet … most investors treat it nonchalantly or just take whatever the bank offers. If you are going to buy and hold investment grade real estate for the long haul, you need to learn to negotiate interest rate. If I could grab you by your jowls and shake you right now, I'd tell you, "Wake up. Pay attention. This is the hill you die on. This is what makes or breaks your career. This is what separates the 'haves' from the 'have nots.' This is the difference between hobbyists and professionals."

We could write a book the size of *Moby Dick* on the many facets of interest rate, including the cause and effect relationship of interest rates and investing. So let's look at a few that will really add fuel to your fire.

Cash Flow: If your goal in purchasing property is to create monthly cash flow or monthly income, then interest rate is either your friend or your archnemesis. On a long-term hold property, it's far less about the price than it is about the interest rate. We talked briefly about this in the price section but I'd like to expand on it.

We all understand the "I want all cash" sellers. Don't be discouraged; this is where everyone starts. It's your job to subtly point the ship in a different direction. Use your knowledge to inspire a seller's confidence in you as a real estate professional. It's confidence without arrogance that will win over the respect of your seller. Sellers will give you their attention when you don't balk at the price or try to beat them down. Leave that tactic for the used car investor crowd. We'll receive everything we want by being professional, not by being lazy and unprofessional. So, if it's not ridiculous, agree with them on the price, negotiate out the commissions that a realtor would have demanded and ask for some input on the terms of the transaction. Sellers will often give you a very low interest rate for a few years as you work on the building in order to raise rents. It's not unusual to see notes that start at 4.5 percent interest only and slowly escalate up to 6 percent to 7 percent for the term. This is reasonable and logical; just make sure it works

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for you. Nothing says you have to make every transaction work. Don't force it because that's a sure sign you'll struggle with it forever. Hang tight for the right deal/seller. To summarize this session, for a long-term hold, negotiating long-term fixed rate private financing is absolutely critical.

Buy and Flip: Interest rate is far less important on your buy and flip properties, depending on your exit strategy and the transaction itself. Let me explain. If your goal is to buy, remodel, and sell for all cash, then it doesn't really matter what the interest rate is because you will be in and out in less than 120 days. Most of my buy and flip properties aren't owner-financed for that reason. If you can obtain great terms on a home and your exit strategy is to sell on an all-inclusive trust deed (wrap-around mortgage) then we're back to focusing on interest rate. As a general rule the buy and flip is all about the purchase price, but don't close the door on what might be possible.

Keys to Interest Rate and Negotiating:

- Interest rates are completely negotiable.
- Long-term holds should always have long-term fixed rate financing. If that isn't possible for whatever reason at the time of purchase, get it fixed as soon as you can.
- Tiered interest is a great way to work with a seller to buy a property that wouldn't normally work with your cash flow. It's the compromise strategy.
- Long-term low-interest terms can be more valuable than the structure itself.
- All your promissory notes should be written up "X percent interest only or more." This allows you to amortize it however you choose on whatever schedule you would like, not to mention dispels any pre-payment penalties.
- Check with your particular state regarding minimum interest allowable. Several states don't allow zero interest loans if they are longer than a certain term. While you're there, check on the usury laws just so you know what they are. Your education is the key.
- Interest rates have an effect on market fluctuations; you can't fight them so learn how to master the implications and you'll be a success in all markets.

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- I keep fliers from local banks regarding the CD rates that they pay in a portfolio at all times so when I talk to sellers we are grounded in what is currently available in the marketplace.
- Know reinvestment options for your sellers so you can talk intelligently. Know savings rates, CD rates, bond rates, market trends, etc.
- If you're talking to people who are concerned about the security, keep in mind that federally insured banks invest in mortgages; this isn't any different. They are just as secure as a bank. If all those really smart people in banking and government think investing in mortgages is a good idea, why shouldn't your seller do it? It'll at least make them think.
- When negotiating interest rate, have your seller think in terms of monthly income, not necessarily the actual rate. Come up with an amount first and work the interest rate back from there.
- Understand your audience. What the sellers think is reasonable doesn't have to jive with your version of the same story. It's not about you; it's about them and what they want. More on this later.
- If your audience is very simple, then keep your language very simple. Avoid jargon unless you are negotiating with real estate professionals. You'll scare off your sellers if you start talking about promissory notes, collateralization, and foreclosure before they're ready.
- A negotiating strategy with a more stoic seller might be to submit a couple of different offers—one all cash, one with the seller participating in the financing. It will often stimulate more open discussions. Then you can explain the connection between interest rate and purchase price. You'll be shocked by how open people become when they understand what you're talking about. The unfortunate reality is that most people who say "no" don't understand what you are presenting to them. That's why we're patient and work on the seller's timeline. When you work on their time, your successes will increase and you'll develop great friendships along the way.

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When to Close

When to close a building is often overlooked as a term of the negotiation. Investors often just pick a time that gives them enough time to close a loan but there's much more to it. Arbitrary decisions are not for you.

If you are closing a residential transaction, more specifically a buy and flip property, you want to close toward the end of the month. Remember, interest is charged in arrears. If this is an income-producing property, close around the fifth of the month in order to collect your prorated share of that month's rent, last month's rents, deposits, etc. Oftentimes this can add up to enough to serve as your down payment. It also transfers the responsibility for collecting rent onto the former owner. You now have twenty-five days or so to become acquainted with your tenant base without having to ask for money.

Amortization

How are you going to amortize this handcrafted transaction? Don't miss a step. Long-term hold real estate transactions are like golf shots. Everything needs to be right when you're setting it up. If something isn't right at the point of impact, things go more and more haywire the farther down the line you get. When you're off by less than an inch at impact, that ball looks great off the club but then slowly turns right. You know what I'm talking about. That slice is going to take you into the next fairway over. Now it's going to take a great shot just to get you back to where you would have been if you had hit it right the first time.

Every seller-financed note should be written up, "X percent interest only or more." This allows you to amortize the transaction however you want. This protects you against the slices in your career. If you shank one into the woods you might just pay interest only that month. If you hit a drive with the wind at your back that drops eight inches from the cup on a par four, you might pay down a little principal. Flexibility is the key to staying in the game long term.

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If you have to amortize a loan, I'd like to see it on a thirty-year term or longer if possible. Keep your payments down; you can almost always pay more without penalty if you're selecting the right finance package.

You may at some point choose a reverse amortization type package. This is where you aren't even making the minimum interest payment so the principal amount owed increases. There are some available on the market but I'd feel safer if it was a private party note holder. For one reason, you can create it such that the interest doesn't compound and the interest equation is always based on the initial principal amount or less. Private party notes are more flexible … are you seeing a theme? If you select this, have a very clear plan and stick to it. Always have a firm cash-out date or a time when the amortization flips to either interest only or positive. It's a great tool but only under the right conditions. I have some trepidation about how many "Neg Am" loans are being offered. If the market even hiccups a little, these are going to flip and people likely won't be able to make their payments. Keep in mind, continued appreciation is not a business model. If you have friends or family who aren't real estate savvy using this tool for their personal residence, check in with them, and check the paperwork for them.

Cash Out / Balloon / Bullet

The real estate world's slang for cash-outs is 'bullets' because they come fast and hurt. When financing a building that you intend to keep, I highly recommend not having a cash-out shorter than five years. This allows the market time to cycle prior to your note being called due. If the term is shorter than five years, have a master plan that allows for the money to be retrieved without selling the property. I hate seeing investors sell because they backed themselves into a corner on the buy.

Cash-outs become especially important if you have negotiated a negative amortization. You either need to cash that "Neg Am" out or have it reverse to a more conventional structure at a clearly identified time or at your discretion.

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Closing Costs

Have you ever really looked at closing costs? I'm not sure whether to tell you to look at them or not because they can drive you absolutely nuts. Work with your title company or attorney to determine exactly what their fee schedule is. What costs are fixed fee-based costs, like recording or notary, and what costs are percentages? Ask what the percentages are. It's always good to communicate accurate information to a seller about projected costs to sell. Knowing this number will often determine how much you'll need to give the seller as a down payment.

This process will also show you how much money you save by working with a private party rather than a bank. I call them the hokey-pokey fees. A bank will charge you a hundred dollars to make copies; FedEx Kinko's will charge you three.

Cost-Saving Strategies:

- If you're working with an agent, work with their commission money. This is especially true in high-value markets like the coastal zones. A 3 percent commission on a $60,000 home in the Midwest is more fair for the work being done than a 3 percent commission for a $600,000 listing that sells in three weeks. I use agents to list my flip properties but I tier their commissions based on what they say I can receive for the house. If I get less than they say, they get less. It's fair.
- Obtain a general contractor's license. You can often receive flat fee escrow services for builders and save enough in fees to cover your license, bond, and insurance. In some states, like California, this might be a little cost- and time-prohibitive but check with your state to see what the requirements are.
- Work with your escrow company and attorney. Ask for a discount on repeat business. If they want a one-sided relationship where you just pay them and they don't play nice then perhaps you need new team members. Don't nickel and dime them but a 15 percent to 25

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percent discount on repeat business is a fair request. They don't have any acquisition expenses for your repeat business.

What Goes with the Deal?

This one should be obvious but it's so often overlooked. Value and opportunity abound all around you. Below are realities and ideas to turn a little extra profit and have some fun.

- Make sure the appliances are included in the deal if they are worth keeping; they typically go with the house.
- If there is built-in furniture in the house then that all stays by law. If you want anything else, you'd better write it in the agreement.
- Everything rooted in the ground stays with the transaction … beware the missing landscaping when you close … trust me, you'll be amazed by what people both leave and take with them. I had a seller take a fifteen-foot-tall Japanese maple tree. It was beautiful and really made the house. I showed up after closing and it looked like a meteor had struck the front yard.
- Just because you don't want it doesn't mean someone else doesn't want it. I bought a house one time where the seller wanted to leave everything behind. It was part of our contract that I would take ownership/responsibility for anything he left behind. I made more than $10,000 at a one-day garage sale.
- Try to get occupancy prior to closing if the property isn't owner-occupied. You may be able to have it ready to rent or sell before you even close. Once closing happens that interest rate often starts ticking.
- If there are dead cars or appliances in the yard, try to make their removal part of the deal but don't push it. A couple of hundred bucks and they're gone.

Collateralization

It's important to ensure that your investors are always properly collateralized. I have every note with a private party secured by a deed of trust/mortgage on real property.

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Some are in first position, some in second, and some in third. The most important thing to remember is that there should always be enough equity to cover the principal balance and enough cash flow to cover the debt service on the note.

We'll discuss substitution of security in a later section but I want you to be aware that when closing a property, the deed of trust or mortgage doesn't have to be on the subject property. As an example, you own a multiplex that has $150,000 in equity and $1,000 positive cash flow. You find a house you want to buy. The purchase price is $175,000 and you negotiate terms with the seller that include $25,000 down, a note for $150,000, and 6 percent interest only or more. The monthly debt service on that note will be $750 per month.

Rather than put the seller in a first position deed of trust on the subject property, you could adequately collateralize the deal with your multiplex. When you close on the house, you own it free and clear. Remodel it, put it back on the market inside 120 days, and sell it for $260,000. You walk out of escrow with a check for approximately $235,000 after closing costs, depending on your state's taxes. You are off to the races!

Oh, did I mention that only about $60,000 of your cash is taxable gain? And, maybe you own other buildings with depreciation write-offs to offset the gain…or perhaps you're going to 1031 exchange into another property… or perhaps there are other options you're considering. Can you see why you need a good real estate accountant on your side? The point is, cross-collateralization and substitution of security can put you on your way to freedom in just a few steps, if done correctly.

First Right of Refusal Clause

As you become more adept at your negotiations and begin to stack up notes, you will inevitably cross paths with note buyers. Often they send letters intended to scare note holders. It's kind of funny when you think about it. They scare people by playing up the terrible things that could go wrong carrying a private note … and yet they want to buy

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that same note. Be sure to put these letters in your flip book to show your sellers so they aren't shocked when they start getting them … sort of as a preventative strike.

The way to stay in control of the note buyers is a very simple, yet content-packed clause I include in every transaction. I've never had a seller or an attorney balk at it. If they do you need to either explain it better or question their motives for not wanting it as part of the contract. Here it is:

> ***"Maker of note has first right of refusal to purchase note should beneficiary elect to sell note prior to maturity."***

Write it exactly as it appears above and it becomes a poison pill for all of your notes. What this says is that you have the legal right to match any offer a note buyer makes on your notes. You do not have to make an offer. Your right is of "first refusal." Say your sellers decide to sell their $150,000 second position note on the open market, and a note buyer says, "Sure, I'd love to buy it. I'll give you $90,000." If your sellers say yes, they are required to bring you that $90,000 offer for you to either pass or play.

The clause is left vague on purpose. I didn't want to bind myself to perform within a certain period of time. I just wanted to secure my right to the benefit of a discounted note. Because of this clause, the note itself is likely worth less on the open market, thus benefiting the investor further by a steeper discounted offer. Once we cash out the seller's note, the seller will sign a full reconveyance with satisfaction, releasing any rights they have to the property.

By obtaining a discounted note on your own building, you just received a gain of $60,000, which is taxable. So you owe another $18,000 or so in taxes; after it's all said and done, you just gained $42,000 in new encumberable equity. This little clause has put more than a million dollars in my pocket over the course of my career.

The Back Door—Contingencies

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I’m not a big fan of absurd contingencies. I don’t believe in tying up someone else’s life with false hope and fluff. My word is my bond; it’s my character. However, I am perfectly comfortable with honest and reasonable contingencies. Inspection contingencies are perfectly reasonable, especially if you’re new. Surveys, geotech services, hazardous slope analysis, financing, zoning changes, etc., are all reasonable contingencies. Things like neighborhood review and partner approval are for people who haven’t done their homework who are trying to play catch up. If you’re doing what you’re supposed to be doing, you won’t need to play catch up. You’ll be able to execute exactly to your promises.

Here’s the practical, non-soapbox side. If you’re loading your offers with fluff contingencies, professional investors will eat your lunch if they get an audience with the seller. I know investors in the Seattle area whose entire strategy is to shoot out offers every day. They protect themselves from mistakes by writing contingency after contingency. I love these guys because every seller I deal with who has an offer from this type of investor goes with me. I just take out my handy-dandy highlighter and mark up their offer. By the time I’m done highlighting the maybes in this contract, the sellers aren’t even considering the other offer. I simply show it to the seller and ask, “Do you maybe want to sell your property or do you want to definitely sell your property?” I should really pay these guys referrals. They make me look better than I could ever make myself look. Just remember, you’re running a professional business. We’re not “drive-by investors.” “Drive-by” investors are here today, gone tomorrow.

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Substitution of Security

Moving at Will

If I have framed my agreement correctly, I will be able to move the deed of trust/mortgage to a different property. That's called a substitution of security. This is without a doubt the most powerful tool in the real estate investing world. But as with any powerful tool, we need to wield it carefully and ethically.

Setting It Up

Let's take a simple building as an example, that first six-plex of yours. Call it Building A. Building A cost $600,000; $100,000 down and $500,000 on a promissory note initially secured by a first position deed of trust on that building, the subject property—how simple!

Let's say you have negotiated a 5 percent interest rate on the promissory note. You included a clause in your transaction that stated you may substitute the security or collateral for a promissory note on to a different piece of real property.

Life goes on, and you're paying on this thing and it trickles down to $450,000 after ten years. By that time you own several buildings, and here's Building B with $450,000 equity in it. You decide you want to sell Building A. You take this "note" from Building A and move it over to Building B. Now how much do you owe on the first building? Zero! You've just taken the whole entire mortgage and moved it over to Building B in second position.

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Remember, the equity in the property you are moving the note to (Building B) needs to be greater than the outstanding balance on the note, and the cash flow of Building B must be adequate to cover the payment on the promissory note at the time of substitution.

Harvesting the Corn

Now you don't owe anything on Building A, and this building that you bought ten years ago for $600,000 is worth a million. If you choose not to sell my building, you could go to the bank to borrow against it. They'll probably give you 75 percent of a million, or $750,000, assuming that the cash flow is significant enough to cover the required debt service.

That's what I call harvesting a bushel of corn! It's money that you just put in your pocket. How much tax do you pay on that $750,000? Zero, because it's borrowed money, which is not income. You don't make money. You borrow money. Likewise, when you raise rents over a year, if you raise rents a thousand dollars that represents $200,000 of borrowed money at 6 percent, which is tax-free because it's borrowed. (More on this later) You owe it. It's not income; it's borrowed. The fun thing is that the tenants are the ones paying it back for you.

If you did sell the building, which is not likely to happen, you would receive the entire $1,000,000, having moved the note. At this point, you could do a 1031 tax-deferred exchange and purchase an additional building, or pay the capital gains tax and cash out.

This scenario sounds like it takes a long time to some of you. You don't have a long time; you want to do it now. Go ahead, do it now. One of my students did this with his first two investment transactions. He bought a house on a note and then purchased a five-unit building. He then moved the note to the five-unit and sold the house. In six months' time, he walked out of escrow with a check for just under $330,000. Do this at your pace. As soon as you can create leveragable equity, you can roll.

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What Happens with the Cash-Out?

At the end of the day, let's say you have a ten-year cash-out on the note you moved to Building B. At the end of ten years, you either refinance this property to cash the note holder out, or you refinance another property to cash them out. Preferably you sit down with them and say, "Gosh, this has gone so well, are you sure you want to be cashed out?" The point is, when you set up your purchase correctly, you have establish many options down the road.

Some of the Best Notes Are on the Worst Properties

Another reason I might move the note is if the property for which I negotiated an excellent promissory note is not a property I want to keep for thirty years. They don't always go together. Some of the best notes I have negotiated were on less desirable, often short-term purchases. Sometimes less desirable properties are good candidates for negotiating better notes because the seller is motivated. Keep in mind the property and the terms are two uniquely different entities.

Sample Clause for Substitution of Security

> *Maker, at maker's option, may substitute the collateral for the note to another property under the following two condition: First, the substitute property must have equity equal to or greater than the outstanding principal balance on the note at the time of substitution; and second, the cash flow on the substitute property must be equal to or greater than the committed payment on the note at the time of substitution.*

The stipulations for substituting the collateral for the note are self-imposed, ethical guidelines. Can you legally overencumber a property? Of course you can. Is it ethical to do so? No. Exceptions to these conditions might be in the case of new construction where you're moving notes around to obtain free and clear lots to get construction lending and the land isn't paying for itself. But, generally speaking, always include these two conditions.

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More Information

For information on how to set this up, refer to Escrow Instructions in the Writing the Deal section of ***Foundations for Freedom***.

Side Note: Imagine what could happen in your life if you were able to do just two transactions—a seller financed single family home and a long-term hold multiplex. Move the note to the income-producing property and cash out the house. If you had, let's say, $300,000 in your arsenal now… could you quit the job you hate, could you put more money into marketing, could you take that long-awaited dive trip to the Cayman Islands, or perhaps pay off your own home? Would you live more mentally free if you didn't have a mortgage payment? This goes back to ***Wisdom for Wealth*** where we explored your "why." If I could just show you how to do this and do it well, what could you do with your life?

I become a little passionate about this because I see what it has done with students all across the country. It's like installing nitric oxide in the car. They just take off. We have students who, because of their success in real estate, were able to drop everything to help the victims of Hurricane Katrina. They couldn't do that with a job. We have students who had the opportunity to drop everything and be with a loved one in a time of need without have to worry about the financial side of their lives.

This is what it's all about for Reach Returns. It's more than the money. It has to be. Success is the sum of the whole. It's about seeing people live their dreams, not bury them with excuses and justifications. I heard John Burley, a good friend who knows a lot about real estate, say to students at one point, "Your story, while very real, isn't true." I thought that was so poignant that it just stuck. Our reasoning is very real to all of us but the reality is that we can live our dreams, we can have more free time, and we can be more free. The substitution of security tool is the most effective tool in real estate for creating freedom in a short period of time.

Write down what you're going to do with the first $300,000 check you receive. There are no wrong answers so don't lie to yourself. Writing it on paper makes it more real. Commit to it, write it, and post it on the refrigerator or on your bathroom mirror. I know it sounds contrived but suck it up and do it anyway.

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Deed of Trust

What is a deed? Think of your car. You essentially have a deed to your car. It's the title. It's the collateralization agreement. Without the deed, do you really own the car? No. Try to sell a car without the title. Legally, it's not going to happen.

In this section, we're going to take a look at several different types of deeds, about which investors need to have a working knowledge.

Quit Claim Deed

There are different ways by which deeds are transferred. Let's take a scenario of a husband and wife getting a divorce. If, in the property settlement agreement, she gets the house and he's out, typically the deed that puts this house into her name is a "quit claim deed." He is the one giving away his interest in the property. He is quitting any claim against that property and giving it to her. He is the grantor. She is the grantee. He is giving away his interest.

Here is a second scenario. Unfortunately someone has died. The estate can quit claim the property from the estate to the person to whom it has been gifted. That person has inherited by a quit claim deed. So, if you see a sale or transfer last year on your metro-scan from the title company, and it states 'sale or transfer 20__ (and states a specific year)' don't think to yourself automatically that the new owner bought the property. If it says quit claim, it gives you a hint about what might have caused the transfer.

When you quit claim you are not released from the liability of an underlying mortgage. Let's say that two brothers own the property and they have a bank loan for $300,000. One brother says, "I am tired of owning this property. I'm just sick of this. I'm just going to give you my half."

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The other brother says, “Great, I’ll take it.” So, the first brother signs a quit claim deed granting his interest in the property to his brother. Now the second brother owns all of it. Is the first brother off the hook for his part of the mortgage? Oh, no! He’s still on the hook for the mortgage and has no interest in the property.

Statutory Warranty Deed

A statutory warranty deed is typically the deed that transfers title from seller to buyer. The seller’s interest in the property is transferred by statutory warranty deed once everything has cleared through escrow; that is, once the underlying mortgages are paid off and everything associated with the liens and encumbrances on that property is satisfied.

Full Reconveyance

On the back of a statutory warranty deed is a request for reconveyance. The buyers of the property are not the deed holder and a bank is a lien holder on the deed. The buyer owns the property but the bank that gave the loan, or a seller who’s involved in the financing, has a lien interest in that property. They have a deed of trust. This means that if you don’t pay them per the terms and conditions of the note, they can take the deed. It’s that simple.

If the buyer pays the financier per the terms and conditions until the debt is paid in full, what happens? The bank or note holder signs a full reconveyance on the deed of trust. They sign away any lien rights that they had on the property because the buyer has paid in full.

That would be a request for full reconveyance. When the note holders are paid off, on the back of the deed of trust they sign the full reconveyance. The reconveyance gets recorded and all of the sudden the lien is removed from the property.

The caveat to this process is what is called full reconveyance without satisfaction. This means that the lien holder releases all claims to the property but has not been paid in full.

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This occurs when you substitute the collateral for your notes. When we recollateralize something, the lien holder signs a full reconveyance without satisfaction, "in favor of," or "in exchange for" a new deed of trust on another property. It's a simple process that works, from a logistical sense, very similar to a cash-out refinance.

Partial Reconveyance

Now, what is a request for partial reconveyance? Let's say I own a building on a plot big enough to short plat and divide it into two lots. Initially it's one house, and if I obtain the loan on it with the bank, I've borrowed against the whole property. But I've decided that my lot is big enough to short plat. So I go through the whole process to create two legal lots. I then go to the bank and say, "I would like you to release your lien on just this lot." Not on the whole thing, because I still want you to have a mortgage, but I just want you collateralized by one lot.

If the bankers agree, they would sign what's called a "request for partial reconveyance." They release their lien on part of the property, not on all of it. Are banks inclined to do that, by the way? Banks, not so much. Sellers are another story. If you are involving a seller with financing it is a possibility. If you're thinking of doing something like this, you want to orchestrate it in advance, prior to the initial closing when you have the most leverage.

Partial Re-conveyance Case Study

Let me show you an example. I want to buy a vacant piece of land from the seller for $33,000 and I plan to divide the property into four lots. I'm going to write into my agreement in layman's terms that initially I'm going to give the seller $3,000 down and $30,000 will be on a note. Initially, that $30,000 will to be collateralized by a first position deed of trust on the entire property because that's what I'm buying—one big lot. How can it be collateralized in any other way? On this property, it couldn't. I could move it to another property, but I didn't in this case. I said 'initially' it's going to be all on that lot, right?

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Continuing with my negotiation, in layperson's language I share that I'm entertaining the idea of dividing this property into four lots. I actually drew a little sketch right on an addendum of the four lots labeling each lot 1, 2, 3 and 4. Upon completion of my preliminary short plat, I would like the $30,000 note to be split into two $15,000 notes collateralized by lots 1 and 4.

Once that's done, how much do I owe on lot 2 and 3? I owe zero, right. Understand what I am saying: this is all written, day one, with the seller. It is three years later when it actually happens but I'm willing to share my game plan upfront. I need to know that you agree with this whole thing all the way through. Do you see how much pre-planning that takes? I don't want to wait until I need him to do this to ask. I'm going to lay it out in advance.

I explained that, of course, I'll build a little road in here and add utilities so these lots will certainly be worth $15,000 each as I'm improving them, per county standards. Sure, no problem. Well, now I own lots 2 and 3 free and clear, so I go to the bank and borrow money to build what turned out to be a duplex on each lot. With a free and clear lot it's fairly easy to obtain a bank loan to build if you own the ground. As a matter of fact I wouldn't recommend trying to do it any other way because the bank wants to be in first position with the loan, without question.

Okay, so now I'm going to build on lots 2 and 3. Upon completion of lots 2 and 3, and upon their being rented, and producing cash flow, I would like the beneficiary of the note (the seller) to move into second position behind a first position bank loan on lots 2 and 3. Each of these notes then moves into second position. They then sign a full reconveyance on lot 1 "in exchange for" a second position deed of trust on lot 2 and the same for lot 3. Now how much do I owe on lots 1 and 4? Zero. Now what do I do? I return to the bank, obtain a construction loan, and build two more duplexes.

Do you see the importance of having a game plan initially and negotiating all of what you're going to need in the future? I'm going to negotiate it now because once we sign

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and the ink is dry, I have to live what I have just signed. I don't want to have to come back to the seller on bended knee and say, "Please, may I?" No, my leverage is he wants to sell.

More on Statutory Warranty Deeds

Typically, a deed is transferred on the sale of a property by means of a statutory warranty deed. The warranty part of this, simply put, means that this property is transferring free and clear. It is clean. You are the new owner and only things that were of record before—meaning easements, encumbrances, those things that you are aware of—and any new financing you put on it will be there. They are warranting that the deed is transferring in an aware status.

Deed of Trust

A deed of trust, very simply put, has a grantor and grantee. It has the address and legal description for the collateral property. It attaches to a promissory note.

The deed gets recorded. The promissory note does not. Thus, if you have future amendments to a promissory note, you don't have to record and unrecord them. You can simply amend by agreement and notarize the terms of that note, but the collateral doesn't change. The deed of trust is the collateral.

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All-Inclusive Trust Deed

(Wrap Note / Wrap around Mortgage)

The all-inclusive trust deed, or wrap note as it's most commonly called, is the ultimate cash-flow tool. It isn't as common as it used to be because investors have grown lazy. Most investors know only one or two ways to produce cash flow. Some are fond of the lease option, while others are all about the multi-family housing. There is another way called a wrap note. Pay very close attention if you are interested in cash flow but are slightly freaked out about being a landlord.

Setting the Sale with the Buy

Let's talk about setting the sale with the buy. Everything we write is assumable unless the seller stipulates otherwise. A promissory note and deed of trust are always assumable unless the beneficiary (seller) negotiates that all is due and payable upon sale. Unless they add a due-on-sale clause, the note and deed of trust are assumable at the terms and conditions set forth. Now understand what that means because it's huge.

If I just wrote a $400,000 note at 4 percent interest with thirty years straight amortization, I have just teed up a hundred options for myself in the future regarding what I can do with this property, even if I don't want to keep it. I don't want to cash in that note. That is a valuable piece of finance.

Remember, we are hunting for properties as well as hunting for terms. Although they are often paired together, they are two separate things. What we are creating here are terms. When we create terms that are valuable, they create options for us in the future.

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Example 1

Now let's say we have a note for $600,000 at 6 percent interest. That's $3,000 a month or more if you have written it correctly. We keep this property for eight years, and interest rates are going up and up. Over that eight-year period, interest rates climbed to 10 percent. If you're under the impression that rates are going to stay between 5.5 percent and 7 percent, think again.

Let's say that by year eight I have paid down the mortgage by $100,000 and I want to sell this property for a million dollars. I will sell this property for $100,000 down and $900,000 on a note to the buyer at 11.5 percent interest. Why 11.5 percent? Because if I am going to play the bank, I realize that this 10 percent, and one and two points to set it up, is an APR in excess of 11.5 percent. So I am playing the bank. I will offer it for sale. Let's say the payments are roughly $8,500 per month for this.

You're saying to yourself, how can he do that because he has this underlying note? Well, yes, I do, but I will secure this promissory note with what's called an all-inclusive trust deed, commonly referred to as a wrap note. The new buyers are going to take title subject to the property by an all-inclusive trust deed, which essentially means that they are taking title subject to an underlying that's already on the property, and that I agree to pay on the underlying at its terms and conditions.

So the buyer pays me. I continue to pay on the underlying. Watch what's happening here. I am collecting interest on $900,000 at these new higher interest rates, but I am paying interest on $500,000 at 6 percent. So, not only am I getting 11.5 percent on the $400,000 difference between the sale price and the underlying, I also make 5.5 percent on the original financing package; in other words, the spread between the two interest rates. Let's look at what this means numerically.

Equity $400,000 @ 11.5% = $3,833 / month
Underlying $500,000 @ 5.5% = $2,291 / month
$6,100 Net to me monthly after processing fees, etc., and I don't own the property

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Do you see how powerful this tool can be? Run that monthly income out twenty years and it's $1.4 million in interest, with an equity balloon at the end.

This type of transaction has a great many moving parts possible, but my primary concern is that you see the potential of great cash flow and not owning the property. Take a look at your life and determine what your monthly income needs to be to set you free. I'm not necessarily saying how much you need to be rich, but how much do you need to be comfortable and safe? How much would it take for you to do this full time? How much would it take for you to drop everything and follow your passions? Got that number? Now write it underneath this paragraph.

Let's say that number is $6,000 per month. That's a solid income. You're not getting rich but it's stable. Now, let's say the average spread margin on a wrap note is a blended 4 percent, meaning that it might start out at 3 percent but with a variable increase to 5 percent. You'll need $1.8 million in wrapable financing to produce that income. Depending on where you are, that might be one building or it might be ten. The point being that it isn't all that much once you dig into this sport. If you have a job you love, this might be your sole focus so you don't have to manage your building. On a side note, I highly recommend using a third-party service provider for your wrap notes, so all you maintain is the relationships. Many companies do this, companies like Noteworld. I have an addendum at the back of the coursework that is a guide for writing your wrap note transactions.

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Options

An option can be the single greatest use of leverage you'll see because you are essentially controlling a very large asset with very little money. I know an investor in the Seattle area who has gone in and out of success throughout his entire career. A few years ago, he started optioning raw land in the pattern growth areas. I realize I said I am not a speculator and that we shouldn't be speculators, but the option is kind of an exception because we generally don't have too much on the line. If you want to be in on appreciation and growth then optioning property is your tool. Anyway, back to this investor. He has accumulated more wealth in the last few years than the twenty years prior … and we're talking real wealth. Like your own Citation jet kind of wealth. Oh, and did I mention he rarely actually exercises his options? He sells or, I should say, assigns them.

The Option

An option is a legal agreement between you and a property owner that says that you will give the owner money right now (consideration) for the right to purchase his/her property during a certain window in the future at a specific price and terms.

Let me ask you a question. Just think intuitively. I have a four-plex. It brings in about $4,000 per month. You already possess a sense of value, don't you? You're going to say it's probably worth $500,000 or $600,000, based on an income approach to value. Let's say I offer to give you a ten-year option to buy that property, and your window to purchase it is from July 1, 2016, to July 1, 2027. I give you the right to purchase that property in the future for $700,000. What I want for consideration is $10,000 today so that you could secure the right to purchase it in ten years. In a decade, it will be an all-cash transaction. Intuitively, what does your gut say?

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Now, instead, let's say I tell you the option price to get in is $1,000, your window is twenty years, and the price is $600,000. Do you follow what I just changed? It will cost you $1,000 to secure the option. Your window is twenty years out and the price is the current market value of $600,000. You know what? If I didn't have you handing me $1,000 bills as fast as they could go into your wallet, you're not understanding the concept of leverage.

You would sign up in a heartbeat because today we know that it's worth $500,000 or $600,000. You're giving me a twenty-year option to buy this at $600,000 and all it's going to cost me is $1,000. I'd bet a $1,000 all day long that the building will be worth way more than $600,000 twenty years from now. I will write that deal as Greg Pinneo and/or sons because I might be dead in twenty years.

I'm not kidding; options can take you to the next level if betting on future gain is your deal. The risk of optioning raw land or growth areas can be tempered by longer option windows, larger closing windows, and lower considerations.

All right, you're in control, you have an option. If the property is sold between now and your option window, does it change your option? No. Whoever buys it does so subject to that legal document and the owners must know they have to sell it to you at that price and those terms in the future.

Be sure to have the option notarized and filed / recorded so that it shows you have a legal write to the property.

Option Example – Slow Dancing with Harry

Here is an example of how I put an option to good use.

Initial Situation

Years ago I had my office next to a beautiful, large piece of property, zoned multiplex with a tiny house on it. And when I say tiny, I mean tiny. It was the type of property that

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developers long for: large, flat, easy access, multiplex zoning. It could hold a lot of units. Of course, everybody and their mother tried to approach the owner, Harry. But Harry was kind of a crusty, old guy who talked in a snarl and ran people off his property at the end of the shotgun. He was like a lion, with a shotgun instead of claws. Harry's house was, I swear, about a 10 by10 shack with a little wood-burning stove. There he was, just sitting there being crusty and roaring a lot. I'm not sure he even left the property to go to the grocery store.

The Slow Dance

Years went by and during this time I built a lot of units. A byproduct of all this construction was that weekly I had quite a pile of scrap lumber. Because I noticed the little woodstove chimney, I figured I might feed the lion a little scrap wood. So the first time, I loaded a wheelbarrow and headed toward the property line. "Harry," I called. "Harry, I'm Greg. I work next door. I have a bit of wood here that I thought you might want." I hadn't gone but ten steps when here comes Harry, "What are you doing, get the h- - - off my property?" "Harry, I'm just dropping off some wood," I called out. "Well, then drop it and get out," rumbled Harry.

Well, this went on, and over time I got farther and farther onto the property. Finally, Harry growled at me, "What do you expect me to do, carry that pile all across the yard? Bring it over here and stack it up!" It loses a little in writing but you have to understand he constantly yelled.

Time went by again and one day my assistant came to me and said some character wanted to see me, and wouldn't I like him to come back into my office as he's gnashing his teeth at the other people in the lobby? Well, who else could it be but Harry? Harry came back and started hollering about how "they" are stealing his property. Who, I ask? "The #%! government is!" Well, I made a few calls and found out that Harry was behind on his property taxes and had been for five years. He owed about $15,000 and "they" were going to foreclose. I'm the only person he knew who knew something about this real estate "thing" and so he came to me for help.

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I sat him down and talked to him about what he wanted to do. Turns out, he wanted to stay for one more year and then sell and move out of state. Perfect! I had a tool that worked for him and worked for me, an option.

The Option Applied

I gave Harry a check for $15,000 for an option to purchase his property in one year's time. I drove Harry to the city offices and he used that $15,000 to pay off the back taxes. I spent the next year drawing my plans and securing my permits to build. Harry spent the next year still snarling at people from his front porch.

At the end of the year, Harry packed up and happily moved (relatively speaking, remember this is Harry we are talking about) to his final destination. I started building right on schedule. I had no interim interest to pencil; we were just ready to roll. At the end of the day, here is what we built on that site.

Before…

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After!

The Lease Option

The lease option tool is pretty self-explanatory. It's a lease with an option to purchase. A great deal of teaching regarding lease options gets very complex. But I want you to understand when I feel it's best to use it. If you feel that lease optioning property is the tool that you'd really like to find, look into people like John Burley, Cheri Cooley, and Wendy Patton. I am not very familiar with their product so you'll have to do that analysis on your own, but those three people teach lease options and have a heart for teaching. You cut them down the middle and they are on the inside the same as you see on the outside. That's really all we can ask of people, isn't it? Just be yourself.

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On the purchase side of a lease option, you want to be very clear with your paperwork that you have the right to sublease the building you are purchasing. It can be great way to build cash flow with less maintenance than a straight rental house. On the purchase side you want to attempt to pay as small a consideration as possible. Perhaps your consideration could be the lease, so look into this and understand the nuances prior to negotiation. You can then assign your option rights or close the property when you have a buyer and sell on a lease option.

Selling on a lease option can be an exceptional tool in a market that takes a downturn or flattens out because you can typically get 5 percent to 15 percent more than market value for a lease option. I remember in the early 1990s I had a ton of projects all going at the same time. We had crews all over the city, then seemingly out of nowhere the first Gulf War occurred and the market stagnated. We ended up finishing up our remodels and selling them on lease option so that we could maximize our profits.

Once you put a lease option tenant in place, there are a great many ways to put the responsibility of property maintenance onto them. After all, they will be the legal owners. What happens in many cases is that people's lives change prior to their option window and about half of them don't close, which means they forfeit their option consideration and you have the property back in your inventory again. Hopefully the property has appreciated so you can raise the price and put it back on the market.

In summary, I don't do many lease options, in part because the Seattle market is so high that even lease options rarely cover themselves unless you obtain owner financing, and if I get that I'd be more apt to wrap it than lease option it. In other areas of the country it's a great tool. I like to keep my paperwork very simple so I don't put a whole lot of specialty clauses in lease options, but there are a myriad of opportunities within the lease option world should you choose this path. Just remember, everything is negotiable, and when you're dealing with sellers, it's just a question of what's reasonable to them.

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***Side Note**: A lease option can be a great way to start conversations on smaller multiplexes that have some vacancy. I will often go see available rental units and, if the owner is the one showing me around, I will simply ask, would you be willing to give me the option to purchase this building if I lease this unit? If you do this, make sure the lease allows you to sublease, otherwise you've got an alligator on your hands.*

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Sample of Escrow Instructions

Purchase with Seller Participating in the Financing

When to Use It

This is the type of language you may choose to use when buying a house from a seller who is willing to participate in the financing. You should review this with your escrow agent in advance to ensure that the language you use and the forms you use are the proper ones for your area. I write all these details on what is called a maker beneficiary form. It's a fancy word for blank document with numbered lines and a signature section. We sell them at Reach Returns for about $10 but we printed them for our own use so just make your own and keep your dough. Mine are legal-sized and four-part NCR (Carbonless) forms so I can keep one, give one to the seller, give one to escrow, and retain another just in case there are two sellers or someone else needs a copy.

Sample Assumptions

Seller:	Jane Doe	**Purchase Price**:	$150,000
Buyer:	John Smith	**Earnest Money**:	$ 5,000
Property:	Single Family Residence	**Remaining Down Payment**:	$ 10,000
Amortization:	30 year w/10 year cash out	**Balance on Note**:	$135,000
Interest Rate:	5%		

Some Items You May Need

- ❑ Professional and Personal References for You
- ❑ Credit/financial Information for You
- ❑ Earnest Money Check
- ❑ Purchase and Sale Agreement
- ❑ Promissory Note
- ❑ Deed of Trust
- ❑ Maker and Beneficiary Blank Addendum
- ❑ Buyer and Seller Blank Addendum
- ❑ A Legal Description of the Property

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For the appropriate legal documents for your area, check with your team members. In addition to consulting a real estate attorney, you might use forms from a local multiple listing service or check with an office supply store. They frequently sell legal documents specific to your state or region. I know a ton of real estate educational packages have forms and many are good. I am just a little old school. I like to hand-write each transaction with the sellers, in their presence preferably. I also don't want any red flags going up; if the sellers have their paperwork reviewed by an attorney I want them to see what they are used to seeing day in and day out. If you hand them something they've never seen before, they will dissect it rather than just accept it. The other thing is that many of these forms are grossly one-sided, in my opinion, which might be okay with you. I just don't believe in bending people over. I think it should be a fair deal that you aren't embarrassed about or worried about a seller's attorney reviewing. I heard this saying once: "Don't ever ask someone to sign a contract you wouldn't sign yourself." I'm not sure I'd go that far but you get the point. When you treat people right, they will be a font of deals and leads in the future. Bend them over and you may get a great deal but buyer's remorse will set in and they won't be sending any of their contacts your way.

How to Direct the Conversation with the Seller

When you sit down with the seller, you should have all your offer paperwork with you and ready to go. When the time is right, I suggest you write all the negotiated details on scratch paper, then share the paper with your sellers and ask them to confirm all the details. Then, in front of the sellers, write the forms. This falls under the header of "be prepared." In all my cars I have folders with all the paperwork that I might need. I made custom folders for my company, but just be neat and organized and keep them with you at all times. You never know when a call will come in so put it in every one of your vehicles. Keep some at home and some at your office.

Write your escrow instructions regarding the purchase price, earnest money, promissory note, and deed of trust on the maker and beneficiary blank addendum form. Review them with the sellers and have them sign the addendum. You do not need to fill in the deed of

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trust and promissory note. These should simply be initialed by both the seller and you to indicate that you both approve the forms to be used.

Write other miscellaneous details on the buyer and seller blank addendum.

What to Write on the Purchase and Sale Agreement

Fill in the basic blanks on the purchase and sale agreement, including the purchase price and closing dates. Be sure to direct the title policy to the company that gave you your farm reports and be sure to direct the closing to your escrow agent or attorney.

What to Write on the Maker and Beneficiary Blank Addendum

Financial Summary

Purchase Price:	$150,000
Down Payment:	$ 15,000
Remaining Balance:	$135,000

Buyer (Maker), John Smith, and/or assigns, agrees to pay Seller (Beneficiary), Jane Doe $150,000 for the property commonly known as 123 Main Street, Anytown, USA, and legally described as lots 1, 2 and 3 of first addition to Anytown, USA. (Or legal description attached) The down payment shall be $15,000 inclusive of $5,000 earnest money to be paid directly to the seller (or escrow).

Promissory Note

Maker shall give Beneficiary a Promissory Note in the amount of $135,000. Note shall bear 5 percent simple interest per annum. Payment shall be interest only or more. *(This negates any prepayment penalties)* First payment shall be due thirty days from closing and each additional month thereafter. *(Here is where you could defer payments and or interest; just remember if you are delaying payments for ninety days then defer interest for sixty days)*

Payments should be sent to:

Jane Doe
112 First Street
Anytown, USA 55555

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(You could have these payments direct-deposited or serviced by a third-party company that provides statements, etc.)

All interest and principal is due and payable in ten years (120 months) from closing.

Maker of note has first right of refusal to purchase note should beneficiary elect to sell note prior to maturity.

(If you have discussed co-beneficiaries should someone pass away or some other reasons, insert those people here.)

Attached hereto is a promissory note (XXX – give the number of the form where available), which shall be prepared in escrow according to the terms set forth herein. *(The promissory note will likely have a default interest or late payment fee should you not pay on time; this is fine as you are never going to miss a payment!)*

Deed of Trust

Promissory note shall <u>initially</u> be secured by deed of trust *(Don't indicate position, escrow will record in whatever order it files in)* on the subject property, commonly known as 123 Main Street, Anytown, USA, and legally described as lots 1, 2 and 3 of first addition to Anytown, USA.

Collateral for this promissory note can be substituted at some point in the future by a deed of trust on another property, providing that at the time of the transfer that the equity of the substituted property can support the principle balance of the note, and that the cash flow of the substituted property is equal to, or in excess of, the payment on the promissory note.

Attached hereto is a deed of trust (XXX – give the number of the form where available), which shall be prepared in escrow according to the terms set forth herein.

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What to Write on the Buyer and Seller Blank Addendum

Buyer and seller agree as follows regarding property at 123 Main Street, Anytown, USA.

Included with the property are the following appliances, fixtures, piles of firewood, etc. (list them). You may also want to include that they have no significant value as these items could have a sales tax assessed.

Why Am I Including Some of These Optional Phrases?

"And/or assigns": This means that you can bring additional people in as a partner to help you close the property or you may give the right to close this property to someone else.

"Or more": This gives you the right to pay the debt off earlier without penalty if you so choose.

"Maker of note has first right of refusal to purchase note should beneficiary elect to sell note prior to maturity": A promissory note may be sold. This gives you the first right of refusal to buy the note at whatever discount may be available.

"Collateral for this promissory note can be substituted at some point in the future by a deed of trust on another property, providing that at the time of the transfer that the equity of the substituted property can support the debt and principal of the note, and that the cash flow is equal to, or in excess of, the payment on the promissory note": You may want to move the note to another property in the future. This gives you that option. The second property is to have both the equity and the cash flow to support the note. The reason for this dual restriction is an ethical one. It is for your beneficiary's protection and it makes good business sense for you not to over-leverage your property. If you were to move the note to your home, for instance, you might modify the clause to focus on the equity

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only, as your home doesn't have cash-flow from an investment perspective. In the future if you take advantage of this substitution clause the beneficiary signs a full reconveyance on the deed of trust for the original property and then the promissory note is collateralized by the deed of trust on the second property.

"Included with the property are the following appliances, fixtures, etc.": This is the place to mention anything that you want to either have come with the property or anything that you want to have the seller remove from the property. For instance, if you will be keeping the washing machine, list it here. Likewise, if the seller wants to take a rose bush from the garden for sentimental reasons, mention it here as landscaping is normally assumed to come with the property.

What Else Might I Include

Additional Beneficiaries: You may want to designate additional beneficiaries. This is more likely to be the case if you have an older seller who wants their children or grandchildren to receive payments from you if they pass away.

Possession Date: Include a possession date if that is different from the closing date.

A Rental Agreement: If the owners are going to rent the property back from you either for a little while or a long time, you need to go through the process of putting them on a rental agreement.

Subject to: If your offer is conditioned on anything, you must include this as well. Typical "subject to" clauses deal with financing, inspections, and feasibility studies.

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What Comes Next

At that point, you should give the seller your earnest money check to deposit into their account and you should take the signed agreements to your escrow agent who will prepare all the remaining documents per the instructions. Stay on top of your escrow reps. Remember, this is your baby not theirs. No one loves your children like you do so make sure they are taking good care of your transaction. After all, you've given your word. Don't let escrow, title, or finance brokers turn you into a liar. It's your responsibility to make sure that sellers receive everything that was promised to them and more.

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Property Management

A Few Thoughts

I want to spend a few minutes on property management. Because you're going to own all these properties, you'll need to manage them. Now, the thrill of the hunt just ended. Here's the work but it is work with a purpose. Work that, at the end of the day, you know is going somewhere.

The Annual Update

It is satisfying at the end of the year to update my amortization schedules. I don't update them every month on purpose because I really like it. At the end of the year around Christmastime, I will get bank statements and pull out my amortization schedules with the seller. In other words, I'll pull out all the loans that I have. I'll pull them up on my computer screen, which has a big spreadsheet, and when you change the balance owing, it changes, of course, our equity. If you owed $400,000 on January 1st and you've paid that mortgage down, and now you owe $380,000, you've got $20,000 more equity, right?

I love updating that. I didn't come from a ton of money so it's important to me to savor the accomplishments of the year. It gets me back in touch with why I am doing this and let's me take a step back and just breathe. At the end of the year, I survived another year. I hung on. One more year, and I just start updating those mortgages and see that bottom line equity number grow, grow, grow, and I realize that's why I did all this hard work. There's three, four, five hundred thousand dollars of new equity there. Not to count appreciation. You know, that's just paying down the mortgage. Who paid down those mortgages? Not me—the tenants paid down those mortgages.

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All I did was manage tenants. That's what I do. I manage people. When I say manage them, I manage with a steel fist. It's my building; it's my family's livelihood, so it's my way or the highway. And I don't let anybody get away with anything. That's why your rental property needs to lie between your house and Safeway, right. Not literally, of course, but I mean that it has to be property that you go by on a regular basis.

Keep it Clear

I'll give you an example of what I mean. Recently I drove by one of my buildings and walked in through the front entryway. I said to myself, "What's that doing there?" That looks junky. Knock on the door. Is this your tire? Yes. "Remove it; keep it in your unit. It makes the entryway look crummy." The very careful written lease says none of that stuff can be outside your unit. Patios are kept clean and clear. Your building is going to look the way you want it to look; there is no exception. Now, how do you do that?

Know Your Landlord-Tenant Law

Know your landlord-tenant law. Know it intimately. Read it upside down, in and out. Review it with your attorney if you have questions. Keep up-to-date as landlord-tenant law often changes as quickly as tax law. This means constant amendment of your leases with new disclosures about lead and mold, etc.

Walk In / Walk Out

Now back to management. A well-written lease is important. I have included a copy of my lease agreement for you to compare. I am not saying my lease is the be-all end-all solution to property management, so get out there and review a bunch of leases and come up with what works best for your area and your building. Walk-ins and walk-outs are critical to responsible property management. It is your roadway to deposit returns. This is where they mark down any little thing they want to tell you that was in the unit, but they didn't do it. Write down this mark on the wall, this burn in the rug, whatever. You can even take pictures or film the walk-through.

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So when you do your walk-out, after they've left, this is your road map. You know that these things existed. Anything else is on them … anything else. Take a lot of time with you walk-out. Theoretically the deposit they have given you should right the ship.

Maintain Your Properties

Maintain your properties. Don't let anything go. I'm a freak about this. If something's broken, fix it, and fix it right. Do it once and do it now. Don't let things go, because it will only get worse, especially in the area of water. Dripping faucets are particularly troublesome, especially if you're paying for the water. Holy smokes! A drippy faucet can cost you $400 per month, in water. Because it's not only the water charge, there's the sewer charge for the water going down the sewer. You sewer bill is a function of water usage. So, we're constantly going through our units. We give everybody notice on about a quarterly basis that we're just going to inspect the units. Proactively, we don't wait for them to call us with a problem; we're going through. If the place is trashed and messy, they're going to receive a letter saying, "Listen, we're coming back in the next week. This doesn't work for us; this is a health hazard. This place needs to be looking better or you're on your way." Tight ship, iron grip. You own this property. Run it your way. Keep it looking clean and crisp. Basically you are training your tenant base. They'll grow used to it and enjoy a clean well-run building. Those who don't will leave and you'll have another chance at a great tenant. A vacant unit is far less expensive than a bad tenant, trust me.

Pay or Quit

Rent is due on the first. They have until the fifth, according to my lease. If I don't have their rent on the fifth, they don't receive a call; they don't get anything from me. On the morning of the sixth, they get receive a three-day pay or quit notice. Simple.

If I ever have to deliver two of those, they're out of there, period. I am not a babysitter. It might sound harsh but I let them know up front. I'm a good landlord. My maintenance man will be there instantly if you have a problem. Here's the other side of the equation, though; you're going to be a great tenant. Here's what that means. You are courteous to

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all tenants, pay your rent on time, and keep a neat, tidy ship. If you ever bounce a check, I'll never accept another check; it's cashier's check or money order from then on. If you treat me like that, then I'm going to treat you like a child. We want responsible tenants and if we can't be responsible landlords then we don't deserve responsible tenants. It's a two-way street. That's also why I don't subscribe to the idea that you should lie to your tenants and just tell them you're the manager. Don't lie to your tenants and expect them not to lie to you. You reap what you sow.

It's a discipline scenario and I'm just telling you, it's kind of like raising children. If you let them know right up front here's the way this game works, there are no surprises. It is the only way to manage property successfully and not have it consume you. Don't let tenants think for a minute that they own this building and start running you. I have literally had people sell because their tenants have taken over. They can't get it under control.

Beds Have Legs—Tales from the Dark Side

I would like to think you could drive by any one of my buildings and I could take my family and move into any unit that I own and we would be just fine. Crisp, clean, everything works well; a well-managed building. This is not to say that I have gutted all my buildings and replaced all the fixtures. I have some old buildings with old fixtures but they are all clean and in good working order. I am appalled, to be honest, with the landlords who don't take care of their buildings or their tenants.

Once when I was making my rounds, checking on available units from my competition, I came across a unit that I'll never forget. I remember standing in the basement unit with water about two inches deep in the University District, and this guy said, "Well, this is ready." I said, "It's ready to go? What do you mean, ready to go? This floor has two inches of water on it." He said, "The beds have legs."

I questioned him, "You're serious?" He replied, "Hey, this is student housing. I haven't done a thing on this building in twenty-five years and I'm sure not going to start now. It's

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$300 a month, take it or leave it." I couldn't believe it. I said, "You should be turned in. This is ridiculous."

Don't be a slumlord. Run a tight ship. What you give is what you're going to get from your tenants.

Staggered Leases

What do you do when somebody's lease runs out? First of all, sign one-year leases. That's a good thing to do. Occasionally on a different property we'll go with six-month leases and then month-to-month thereafter, but I prefer a one-year lease. There is less turnover of the building, less wear and tear. It also allows you to stagger your leases so that the whole building can't move out at once, right?

But what do you do when people call in the middle of their lease and say, "I've been transferred and I've got to leave." Well, what do you do? "Oh well, it's really not a problem. I don't care if you're living there or not, just so the rent check comes in. It sounds pretty harsh, doesn't it? A lease is a lease. Your word is your word. Now, if at your time, expense, and advertising, you want to advertise your unit at this price and if you feel you have procured somebody ready, willing, able, and qualified, I'd be happy to interview them. If I accept them, then I will write up a new lease with them, and at the same time remove you from the balance of your lease, but not until that happens."

Does this sound harsh? It may, but I guarantee you, I'll show up at any building and I could knock on any door and the tenants would say, "Greg, hey, come on in, let's have a cup of tea or a beer."

I don't have harsh relationships. It's just strict. It follows very clear parameters and that is my suggestion for managing your buildings. You do your job well. Expect them to do their job completely and well. It's a rare day for my tenant base to pay rent late. I'm first on their payment lease because they know I don't mess around. My record is by no

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means perfect but following your guidelines unwaveringly reduces some of the hassles. That, and owning in great locations, will really ease any burden.

The other thing I do with my tenants is that I interview regarding whether or not they would like to buy a home. I have their credit score, etc., so I know what they can afford. I will oftentimes sell my rehab project or assignment to my tenants. It's like a minor league system for homeowners.

Other Resources

These are just a few thoughts. For more information on this subject, please refer to ***It All Starts with the Building You Bought: Getting Better Results in Property Management with Greg Pinneo*** for hours of advice and stories from the front lines.

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Case Study

Name	Type
Queen Anne Single Family	Buy and Flip

Description

Small bungalow style house built in 1909 on the plateau of Queen Anne, which is an upscale residential neighborhood approximately five minutes from downtown Seattle. Two bedrooms, one bath, and approximately 1,000 square feet of finished living space. There is also an approximately equal amount of unfinished basement space. It is structurally solid with an updated electrical panel, a good roof, and a solid foundation. There is also a detached one-car garage all on an average, in city, sized lot. The home is tax-assessed at approximately $200,000 due to a senior discount. True tax-assessed value would likely be somewhere between $320,000 and $330,000. The neighboring homes to the immediate north and south range in value from approximately $600,000 to $800,000 in value. The house is in need of quite a bit of cosmetic work, but it is structurally sound and in good overall condition.

Seller Analysis

The seller has passed away and willed the home to his two nieces, both of whom are in their early to mid-fifties. Both nieces are fairly well off and not looking at this so much as a windfall, but as a responsibility, and they have come across a bird letter that was in a file among their uncle's belongings. While these two nieces are the executors, there are actually thirteen different beneficiaries who will inherit a portion of the proceeds upon the sale of the home. The nieces have spoken to a real estate agent who estimated the appropriate list price to be at somewhere around $330,000 after some basic cleanup. Neither of the women are of the mind, or have the time, to sort

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through all of their uncle's worldly belongings and clean up this house, which is LONG overdue for a little TLC. At this point in their lives and with this particular home, an all-cash deal, with no cleanup and no contingencies, is a much more attractive offer.

Financial Analysis

$270,000 purchase price, all cash, close in a week.

$280,000 loan from the bank for a buy and flip covers the purchase price, the closing costs, and the $6,000 to $7,000 in rehab costs. In and out of the home with all cosmetic work done and the house on the market, then sold, all within sixty days.

List price when put on the market is $389,000. The home sold for $380,000 after two weeks on the market. Net proceeds after closing are approximately $75,000 to $80,000

Tools Employed

- Bird letter
- Property profile from the Title Company
- Knowing the market COLD
- Short-term bank loan or working line of credit, covering the entire purchase price, closing costs, and rehab costs ($280,000)
- Loan given based on long standing and proven relationship with one- to four-unit lender that is willing, based on track record, to makes funds readily available for buy and flip projects.
- Simple cleanup/rehab, Never underestimate the power of fixing up the yard and having flowers, color, and a well-mowed lawn be the first thing to greet a potential buyer

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Case Study

Name	Type
First West	"Unique"

Description

Single family home on the south slope of Queen Anne (our aforementioned upscale Seattle neighborhood). This Tudor style home has three bedrooms, two bathrooms, and approximately 3,000 square feet of living space. It sits on a street that is an eclectic mix of magnificently expensive homes and larger apartment buildings and has a reasonable view of the Space Needle, downtown Seattle, and the Puget Sound.

The home is older and has not been updated, but it also hasn't been altered by a "Home Depot Remodel." It still enjoys the original fixtures, mill work, and craftsmanship of a bygone era. Back to that whole "romance" thing.

Seller Analysis

The seller was referred by an informant on the street, who knew only that she was perhaps thinking of selling. She is a single woman in her early sixties whose husband passed away several years earlier. She is feeling a bit overwhelmed of late by the reality of escalating property taxes on a fixed income, the maintenance of a rather large home as well as concerns over what comes next, so to speak. She has knowledgeable resources in a brother who is a CPA and a very close friend who is an attorney. Interestingly enough, she is not, at this point, ready to move out of her home, but she *is* wanting to hand off several of the financial aspects of home ownership; she is on her own and looking for a bit of relief from the responsibilities and concerns that go along with owning and maintaining a larger home.

Financial Analysis

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The home is tax-assessed at $250,000.

The final agreed-upon purchase price is set at $215,000 in consideration for the willingness to structure terms that fit precisely with her thoughts, concerns, preferences, and stage in life.

She is given $15,000 down and agrees to carry $200,000 on a promissory note secured by the subject property. The note, however, is frozen. It is not accruing interest and she is paying no rent while she remains in the house.

She is committed to absolutely no timeframe or restrictions regarding how long she is able to live in the house, but agrees to give ninety days' notice of her intent to move once that time comes.

Upon her vacating the home, she will receive a $50,000 balloon payment and then the remaining balance of $150,000 will be paid at 7 percent interest on a thirty-year amortization schedule, for payment purposes, with a ten-year cash-out.

She has also instructed that her fourteen grandchildren be named as beneficiaries.

Tools Employed

- Referral from an "informant"
- Promissory note
- Freezing the note and paying no interest in exchange for collecting no rent
- Negotiating that the seller be responsible for the day-to-day upkeep of the home and the yard. Any major repairs are not her responsibility
- Reducing purchase price in exchange for terms that are highly beneficial to the seller.

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Case Study

Name	Type
Ballard Duplex	Buy and Flip

Description

Single story duplex in a Seattle neighborhood approximately fifteen minutes from downtown Seattle. This particular duplex happens to be located in a somewhat marginal area of what is generally quite a nice neighborhood. On the "romance scale," this one certainly doesn't top the charts, but it is a solid area for investment-grade real estate. Two tenants lived on the property and both had been there for a fairly long time (approximately ten years). This particular duplex is in absolutely awful condition and the tenants decided long ago that they weren't going to pay rent; they were just going to park their dead cars and equally useless appliances, trash, etc., in the back yard. However, while the property and the building interior warrant the term "disaster," the structure is solid and not in need of a major remodel, just major cleanup.

The up side is that there are modest, but well-cared-for homes on either side of this particular duplex, and immediately across the street are a number of recently built townhouse style condominiums.

Seller Analysis

The seller is a gruff older gentleman who has owned the property for many years and received numerous bird letters from us over those years. Unfortunately, the meeting with the seller takes place in a restaurant rather than in his home which would ALWAYS be the preferred discussion (negotiation) site. The current reality is that the owner has completely forsaken the role of landlord and allowed both the property and the tenants to run amok. He is certain that he wants all cash out of this transaction, but due to the condition of the property and the lack of a rent roll, shall we say, he has left himself without the ability to be particularly demanding. In the end, he

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agrees to carry a promissory note with a three-year cash-out deadline. However, as the property was sold immediately after the rehab and re-rental of the units, the seller agreed to a $20,0000 discount for an early cash-out on the promissory note he was carrying

Financial Analysis

Purchase price is $175,000; $5000 down and $170,000 on a promissory note at 6 percent with a three-year cash-out

The deal closes in two days, is subject to a walk-through and inspection, and there are to be no payments on the note for ninety days

Rehab takes approximately thirty days and expenses total roughly $15,000

Approximately $500 paid to tenants for a *timely departure*

Units were rented out for $1,000 each on one-year leases

The property was sold immediately for $275,000

Net proceeds from this transaction … $75,000 to $80,000

Tools

- Bird letter
- Minimal down payment
- Promissory note
- Subject to inspection in order to gain access and evaluate condition of the property
- No payments for ninety days
- Rehab/labor
- Fluent knowledge of landlord-tenant law
- Notice sent to tenants
- "Incentive" paid to difficult tenants in order to vacate the property
- Change locks on doors
- Discount for early cash payoff on the note

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Case Study

Name	Type
Phinney Ridge	Keeper

Description

The Phinney Ridge property is a 1926 brick six-plex in a neighborhood approximately fifteen minutes from downtown Seattle. It is beautifully located next to favored and favorite local hangouts such as Red Mill Burger and Starbucks. There are six one-bedroom units in the building, each about a thousand square feet in size. They have hardwood floors with wood-burning fireplaces, and the entire building is in absolutely pristine condition. A beautiful building that has been immaculately maintained. A gauge mover to be sure.

Seller Analysis

The woman who owned this particular building bought it with her husband quite some time ago. Her husband had been a contractor and, with their combined efforts, they had maintained this building in immaculate condition for the last twenty years or so. Additionally, they had kept the rents a bit below market rates to minimize turnover. Unfortunately, she lost her husband, quite suddenly, a bit less than a year prior to calling us on a bird letter she had received. She was still quite young, in her early fifties, but not particularly keen on the idea of trying to own, manage, rent, and maintain this building on her own.

She was a savvy woman and quite up on the market, assessed values, and the like. She was initially certain that she wanted an all-cash offer and had a fair market price in mind. However, in terms of lifestyle, she and her husband had no children, they had lived very conservatively, and they had almost no outstanding debt to speak of. As well, at this point in time she was not of the

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heart or mind to need the money for any drastic lifestyle changes or exotic travel. Due to her financial position, it would in fact be highly detrimental for her to enter into an all-cash transaction as the taxes due after all these years of depreciation would be exorbitant. Hence, the stage is set for both parties to potentially benefit from an in-depth discussion of terms. This particular transaction reaped not only financial benefits for both parties, but the higher and greater reward of a deep and enduring friendship.

Financial Analysis

Agreed upon purchase price of $750,000

A relatively large down payment of $150,000 (20 percent)

The balance of $600,000 on a promissory note at 6 percent interest, secured by a first deed of trust on the subject property.

Payments are based on a thirty-year amortization schedule with a fifteen-year cash-out.

$5,000 a month coming in from rents (relatively low rent roll for those units in that neighborhood).

Tools Employed

- Bird letter
- Fair market price, larger down payment, and TERMS
- Promissory note with the ability to split the note and collateralize on more than one other equity-rich property
- Substitution of security clause
- Inspection clause for walk-through and seeing rental agreements
- Relationship building

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Case Study

Name	Type
Edgar Street	LONG-term hold

Description

Okay, so you always hear about the big one that got away … well this one didn't. Picture a 1950s vintage eleven-unit apartment building. The building itself couldn't be less inspired. It is boring, boxy, and all-around unattractive to look at. But a diamond in the rough it is indeed. Located in Seattle's Eastlake area, which sits along picturesque Lake Union within walking distance to Seattle Center and no more than five minutes from the heart of downtown Seattle. Views of the sailboats, the seaplanes, and western sunsets over the Olympic Mountains are premier features. This gem sits on 120 feet of prime waterfront and has eight brand-new boat docks nestled among insanely expensive, yet utterly charming houseboats. Seen "Sleepless in Seattle?" Same lake, same house boats, same romance.

Ten of the units are small one-bedrooms, five on each story, all having large decks that face the western view. On the third floor is a single two-bedroom "penthouse unit." Nothing is in particularly good shape, but they all have large bedrooms, hardwood floors, and, oh yeah, those views. Additionally, it is uniquely located at the intersection of two dead-end streets. The net effect of this particular location is that there is NO through traffic in any direction and an entirely unusual amount of privacy and quiet for an in-city apartment building. There is a free-for-all parking lot, and eight first-come first-serve parking spaces, as well as a number of fairly large storage spaces underneath the building. All rents were at about one-third of market rates and all but one was on month-to-month leases at this point in time.

In spite of a few "issues," this was, to date, the single best piece of investment property I have ever purchased … enough said.

Seller Analysis

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In this particular case the seller was actually an attorney who was acting as executor for the owner who was recently deceased. The owner had, for fifteen years, been receiving letters from me about my desire to purchase this property. The attorney had come across all these letters in a file and decided that due to my tenacious persistence over all these long years, I at least deserved the first call.

Being part of an estate situation, the attorney/seller had no interest in terms. An all-cash deal or nothing. This attorney also knew that while the banks wouldn't much appreciate the rent roll on this property, its value was well beyond what the income approach to value would have us think based on the rents being so appallingly low. So, the deal was $1.6 million, all-cash, $100,000 NON-REFUNDABLE earnest money, no contingencies, and close in a month, thank you very much.

No discussion, no negotiation. Pass or play.

PLAY! (was the answer)

Financial Analysis

The building is tax-assessed at $1.2 million

Seller is asking for $1.6 million all-cash with $100,000 non-refundable earnest money and a much-too-quick closing

No notes, no deeds, and the only terms are those of the seller

After raising rents, renting parking spaces, boat slips, storage, etc, the building actually cash flows at a purchase price of $1.6 million with its new rent role of $18,000 per month.

Tools Employed

- Bird letter
- Refinances to get cash for down payment
- Moving notes to acquire cash for down payment
- Raise rents and charge a la carte for additional amenities (parking, boat slips, storage, etc.)
- Minor cleanup, refinish floors, etc.

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- Prayer

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Case Study

Name	Type
Franklin Avenue E	Buy and Hold

Description

This building, located just a few blocks up the hill and a bit to the south of our previously discussed Edgar Street property, is an absolutely stunning, vintage, 1926 all-brick six-plex. No diamond in the rough this one…it is pure elegance.

Each of the six one-bedroom units is roughly 1,400 square feet. Therein lies a space that is wrapped in mahogany trim with cove ceilings, walk-in closets, and leaded glass windows that daily offer up sweeping westerly views of Lake Union and the Olympic Mountains. To add to the allure, let's throw in hardwood floors and a building that is, for all intents and purposes, just oozing with old world charm (romance).

There are also five detached garages, a laundry room, storage areas, and radiant hot water heat (very clean and efficient). As the building has been impeccably maintained and all of the units need fairly minor cleanup and repair, we'll just call this one a home run.

Seller Analysis

On this particular transaction, there were in fact two separate owners. A woman in her early eighties who some fifty-plus years ago purchased this building with her sister. The sister had passed away about ten years ago and willed her ownership stake to her son who was in his mid-fifties. Needless to say, these two sellers had drastically different needs and objectives with the sale of this building. The older woman was meeting with some difficulty walking up and down the steps in this beautiful building she had called her home since the World War II era. She wants to move to a sort of retirement home and no longer have the responsibilities that go along with ownership. As well, she wants to defer her capital gains indefinitely and has a close and trusted friend who is

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helping her with the negotiation.

Her nephew, on the other hand, is relatively young and just wants the cash from the sale to 1031 into a different property located closer to where he lives.

Due to the highly disparate nature of the sellers, this was treated like two separate transactions with the only term and agreement in common being the purchase price.

Financial Analysis

Purchase price of $925,000

Currently $100,000 owing on the property

Bank loan for 75 percent of the value of the building

All cash to the nephew for his half of the sale ($400,000)

The other seller is to receive $150,000 down payment

She will also carry a promissory note for $250,000 at 6 percent secured by a second deed of trust on a different building with enough equity to support the additional encumbrance.

Interest only or more payments and a cash-out ten years after her passing

Tools Employed

- Very direct solicitation—bird letter
- Two separate transactions, each based on sellers' needs and life circumstances
- All-cash transaction
- Bank loan for the funds at 75 percent LTV (loan to value ratio)
- Promissory note secured by deed of trust on a different property
- Interest only or more payments
- Co-beneficiaries named on the note
- Minor rehab then re-rental of the units

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Lease Agreement

LEASE AGREEMENT
This is a LEGALLY BINDING CONTRACT - READ CAREFULLY

In consideration of the agreements made between Tenant(s), known as: _____, and the Owner, known as: YOUR NAME OR COMPANY NAME HERE, Owner hereby rents to Tenant(s) the dwelling unit located at _____, Unit # _____ for the period commencing on the _____ day of _____, 20_ _, and monthly thereafter until the _____ day of _____, 20 _ _, at which time this Lease Agreement is terminated. Both parties acknowledge and agree that any continuing tenancy is granted on a month-to-month basis but owner reserves the right to change terms of tenancy with thirty-day prior written notice.

As consideration for these mutual agreements and permission from Owner to occupy the premises referred to above, Tenant(s) hereby agree(s) to the following terms and deposits with Owner or their representing agent the sum of $_____ (_____ dollars), as evidenced by _____, as deposit receipt*, which upon acceptance of this agreement, the Owner of the said property, shall apply the deposit as follows:

First Month Rent: from _____ to_____		$_____
Security Deposit: $300.00		$_____
Last Month's prepaid rent:		$_____
Key fee: $30.00		$_____
Smoker Cleaning Fee @ $500.00 (non-refundable)		$_____
Pet(s) Deposit @ $500 each pet: (w/approval only)		$_____
Additional Occupant Deposit:		$_____
Total:		$_____
Less Deposit:	$_____	
Total Due:	$_____	

* Will be non-refundable if for any reason Tenant(s) does not occupy unit or commence tenancy.

RENT shall be $_____ (_____dollars), per month, payable to advance, upon the 1st day of each month to Name or company name at the following address: **Insert you address here**

RENT DUE DATE; RENT LATE DATE; LATE FEES: The due date for the rent owing under this Agreement is the 1st day of every calendar month. The late date is five days later. In other words, Tenant(s) may pay their rent on or before the due date, or they may

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pay it on any of the **FOUR DAYS** following the due date without being considered late. The very next day is the rent late date. This is the first day when the Owners will consider the rent late. Owners expect to have **RECEIVED** the rent before this date. If Tenants' rent is due on the first, it must be paid on or before the fifth (5th) to be **"ON TIME."**

RETURNED CHECKS - If for any reason a check used by Tenants to pay Owners is returned without having been paid, Tenants will pay a returned check fee charge of $20.00 AND take whatever other consequences there might be in making a late payment. After a rent check has been returned, Tenants must thereafter secure a cashier's check or money order for payment of rent.

UTILITIES: Tenant(s) shall be responsible for the payment of all utilities and services except: _____ which will be paid by the Owner.

USE of the premises shall be as residence by the undersigned Tenant(s) only with no more than _____ adults, and _____ children, and no other purpose, without prior written consent of the Owner. Guest staying over 14 days every six months will put Tenant(s) in violation of this provision.

PETS: No pets or other animals shall be brought on the premises without prior written consent of Owner. If consent is granted, Tenant accepts all responsibility for any damages to the premises caused by the pet(s). Pet Deposit will be returned within 60 days after the termination of tenancy and Tenant agrees to pay for professional flea fumigation and carpet cleaning at Tenants expense upon vacation of the premises.
Name of pet: _____
Type of pet: _____
Date of acceptance: _____

HOUSE RULES: In the event that the premises are a portion of a building containing more than one unit, Tenant agrees to bide by any and all house rules, whether promulgated before or after the execution hereof, including but not limited to rules with respect to noise, odors, disposal of refuse, pets, parking, and use of common areas. Tenant shall NOT keep any LIQUED FILLED FURNITURE in this dwelling unit without prior written consent of Owner.

ORDINANCES AND STATUTES: Tenant shall comply with all statutes, ordinances and requirements of all municipal, county, state and federal authorities now in force, or which may hereafter be in force pertaining to the use of the premises.

ASSIGNMENT AND SUBLETTING: Tenant(s) shall not assign this agreement or sublet any portion of the premises without express written consent of the owner.

MAINTENANCE, REPAIRS AND ALTERATIONS: Tenant acknowledges that the premises are in good condition and repair, unless otherwise indicated herein or attached hereto. Tenant shall at his own expense, and at all times, maintain the premises in a clean and sanitary condition including all equipment, appliances, furniture and furnishings therein and shall surrender the same at termination hereof, in as good a condition as received, normal wear and tear excepted. Tenant shall be responsible for damages caused by their negligence or that of any dependents, invitees, or guests. Tenant shall not maintain landscaping without Owner's prior written consent. Upon

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vacation of the unit Owner will have all carpets professionally cleaned and deduct the amount charged from the cleaning deposit. Tenant SHALL NOT use rental carpet cleaning equipment on premises.

RIGHT OF ENTRY: The Owner or owner's agent may enter the premises only with prior consent of the Tenant, or with 24 hour written notice. The Owner may enter the premises only during reasonable hours and for the purpose of: (1) inspecting the premises (2) to make necessary or agree repairs or services (3) to exhibit the premises to prospective tenants, purchasers, Mortgagees, workmen or contractors. The Owner shall be deemed to have been given consent to the above said notice if no written or verbal objection, which objection must be reasonable, is made to the Owner no later than one hour prior to intended entry. However, in the event of an emergency constituting a danger to life, health or property, the Owner may enter the premises at any given time without the consent of or notice to the Tenant. The Owner shall have the right to enter the property at any given time upon the request for repairs by the Tenant.

INDEMNIFICATION: Owner shall not be liable for any damage or injury to the Tenant, or any other person, or to any property, occurring on the premises, or any part thereof, or in common areas thereof, unless such damage is the proximate result of the negligence or unlawful act of the Owner, his agents, or his employees. Tenant agreed to hold the Owner harmless for any claims for damages no matter how caused, except for injury or damages for which the Owner is legally responsible.

INSURANCE: Be advised that the insurance policy naming the Owner as the insured extends coverage to the building structure only and does not cover the Tenants personal property or possessions. Tenant would be advised to purchase a "Renter or Tenant Policy" to cover damage to personal property in the event of fire, flood, theft, or other such loss.

POSSESSION: If Owner is unable to deliver possession of the premises at the commencement hereof, Owner shall not be liable for any damages caused thereby, nor shall this agreement be void or voidable, but Tenant may terminate this agreement if possession is not delivered within _____ days of the commencement of the term hereof.

DEFAULT: If Tenant shall fail to pay rent when due, or perform any term hereof, after not less than (3) days written notice of such default given in a manner required by law. The Owner, at his option may terminate all rights of the Tenant hereunder, unless Tenant abandons or vacates the property while in default of the payment of rent. Owner may consider any property left on the premise to be abandon and may dispose of the same in any manner allowed by law. In the event the Owner reasonably believes that such abandoned property has no value, it may be discarded. All property on the premises is hereby subject to a lien in favor of Owner for payment of all sums due hereunder, to maximum extent allowed by law.

In the event of a default by Tenant, Owner may elect to (a) continue the lease in effect and enforce all his rights and remedies hereunder, including the right to recover the rent as it comes due, or (b) at any time, terminate all of Tenant's rights hereunder and recover from Tenant all damages he may incur by reason of the breach of the lease, including the cost of recovering the premises, and including the worth at the time of such termination, or at the time of an award if shall be instituted to enforce this provision, of the amount by which the unpaid rent for the balance of the term exceeds the amount of such rental loss which the Tenant proves could be reasonable avoided.

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TERMINATION: Landlord must receive written notice of intent to vacate the premise 20 days before the end of a rental period or thirty days if at the expiration of the lease.

VACATED UNIT: If Tenant vacates unit prior to end of the rental period, Tenant permits Owner to enter the premises to prepare unit for next tenancy.

SECURITY: The security deposit set forth, if any, shall secure the performance of Tenant's obligations hereunder. Owner may, but shall not be obligated to, apply all or portions of said deposit on account for Tenant's obligations hereunder, including any late fees yet unpaid. Tenant shall NOT HAVE THE RIGHT to apply the Security Deposit toward payment of rents, the last month's rent, or to any other obligation with Owner or any other person.

DEPOSIT REFUNDS: The balance of the Security Deposit shall be refunded to Tenant(s) at their forwarding address within 14 days from the date of possession and KEYS are returned to Owner or his agent including a statement explaining any charges made against said deposits by Owner. It is the tenant's responsibility, if after being given the unit keys, a Locksmith or duplicate keys are needed.

ATTORNEY"S FEES: In any legal action to enforce the terms hereof or relating to the demised premises. The prevailing party shall be entitled to all costs incurred in connection with such action, including reasonable attorney's fees.

WAIVER: No failure of Owner to enforce any term hereof shall be deeded a waiver, nor shall any acceptance of a partial payment of rent be deemed a waiver of the Owner's right to the full amount thereof.

NOTICES: Any notice which either party may ors required to give, may be given by mailing the same, postage paid, to Tenants at the premises, or to Owner at the address shown above.

HOLDING OVER: Any holding over after expiration hereof, with the consent of the Owner, shall be construed as a Month to Month tenancy in accordance with the terms hereof, as applicable.

PARKING: NO MORE than TWO (2) vehicles per unit may be parked or stored on site at one time. Any vehicles blocking right-of-ways will be towed at vehicle owner's expense. No other contents other than Tenant's said vehicle shall be kept and or stored in assigned parking space.
Parking space # assigned: _____
Rent for said parking space: _____
Gate code: _____

STORAGE: Storage of vehicles or other private property on site, without prior written consent of Owner, is prohibited.

SMOKING: If, upon inspection of premises, it is determined smokers have occupied or frequently visited said premises, any or all deposits may be non-refundable.

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ANY VIOLATION of the above terms and conditions can result in eviction, loss of deposit(s) and/or other consequences.

Time is of the essence of the agreement.

SEATTLE Tenant's acknowledge receipt of Landlord Tenant Codes.

ENTIRE AGREEMENT: The foregoing constitutes the entire agreement between parties and may be modified only in writing signed by both parties. The following Exhibit, if any, has been made a part of this agreement before the parties execution hereof:

_____

_____

_____

_____

THE UNDERSIGNED TENANT HEREBY HAS READ, AGREED TO ALL TERMS AND CONDITIONS HEREIN AND ACKNOWLEDGES RECEIPT OF A COPY HEREBY.

TENANT:_____ DATE:_____

TENANT:_____ DATE:_____

OWNER:_____ DATE:_____

Revised: May 10, 2002

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You Can Do This! Commit to Yourself

Just One a Year Will Make a Difference

I advocate that everybody try to acquire at least one property a year with the intention of hanging on to it. It'll change your life. Is it work? Yes, it's work. I hear people snivel and whine about it all the time, but you know what? It's not that much work. And, even if you can just buy one property that meets a simple acquisition criterion and hang on, it will change your life. Commit to yourself. Cross your fingers and swear that you will never sell it. Do something, but hang on! The primary rule of hanging on to a property is simple—oh, so simple. What you collect in rent has to cover your expenses of the building. It has to have a positive cash flow.

If collected rent does not cover expenses that is a negative cash flow. Your hard work is feeding that property. Would you ever do that? Sure, you might for a short period of time. You may need to feed a property until you go in and clean it up in order to raise rents and improve the income stream.

Are there properties out there like that? Are you asking yourself, "Why hasn't my broker called me about those kinds of properties?" You are going to create those kinds of opportunities because you are committed to working hard, thinking differently, and becoming educated. You are in the process of becoming fluent with real estate terminology, learning to see something that no one else can envision, knowing every aspect of your market, and employing the principles of location, terms, and expandability.

Your phone will start ringing and you will meet sellers with whom you will develop relationships. You will see where they live, understand what they need, and ask them questions. You will create agreements that meet your needs, as well as the needs of sellers. You will buy properties where rental income exceeds the expenses. It's that simple. In the thirty-plus years that I've been doing this, the process of real estate investing and its objective have never changed.

Hang On

I heard an interview with Sam Walton, the founder of Wal-Mart. I'm not sure who interviewed him, but he was asked, "What is your secret to all your success?"

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He said, “That’s easy. When I got knocked down I got back up.”

I want you to be like that. You probably are already. If anything challenges you, I want you to tackle it head-on. How high does the hurdle have to be before you quit? This is hard work. It can be frustrating. You’re going to get a “no” ninety-nine times before a “yes.” Focus on the one “yes.” Don’t take the “no” personally. Know who you are, know what you want, and when you get knocked down, stand back up.

I think that we all need to raise our bar in life. That is part of why I do this. I am good at real estate and I want to teach you everything there is to know about real estate investing. But, I do this because there is a much bigger message that I have to tell people.

You Can Do This!

We’re better than we think we are.

We’re stronger than we think we are.

We’re more able than we give ourselves credit for.

This stuff is hard. It’s a lot of work.

But in the end, it’s worth it because it will make a difference in the quality of your life.

I want a message from you when that bird is tied up and in the cage. That’s a good day for me.

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Wrap Note Addendum

Maker Beneficiary
Selling Template for a All Inclusive Trust Deed (Wrap Note)

***ATTENTION**: You are now the Beneficiary of the Promissory Note!!!*

Purchase Price:

- Purchase price shall be $X

Earnest Money/Down payment:

- Down payment shall be $X inclusive of earnest money

Promissory Note Start:

- Buyer (Maker) shall give Seller (Beneficiary) a Promissory Note in the amount of $X

Interest Rate:

- Promissory Note shall bear interest at X% simple interest per annum
- *The interest rate should be at least 2 percent + more than the rate you negotiated on the buy*
- *Could be lots of details here based on your negotiation. For instance, you might have an adjustable rate mortgage. You could start at a floor of interest and then have it adjust upward according to an index plus a certain number of points (like 11th District Cost of Funds (slow moving) or the Treasury Bill Index (fast moving)), whichever is more. If you make it adjustable, you will need to manage the changes and let escrow know.*

Payments:

- First payment shall be due thirty days from closing and each consecutive month thereafter

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- Payment shall be interest only
    - *In talking to the buyer, you may need to explain this. Their payments are interest only. That's a good thing for the buyer, because it keeps their payments low. The buyer benefits from appreciation, interest tax write offs, the ability to improve the property. They will have the ability to have someone assume the loan with your approval. You do not want them to wrap your wrap note. If they do want to pay down the principal, then you will want to charge them significant penalties.*
- Insert late payment penalties here
- Maker shall may his payment to escrow in the (initial – *if adjustable*) amount of $X. Escrow is hereby instructed to make payment on the underlying Promissory Note at its terms and conditions whereby Beneficiary is the Maker and send a check for the difference to the Beneficiary.
- All outstanding principle balance due beneficiary X years from closing
    - *The payoff needs to be 6+ months in advance of your cash-out to give you some time should they not meet this obligation.*
- Insert Co-beneficiaries here if applicable.

<u>Collateral:</u>

- Promissory Note shall be collateralized by an All Inclusive Trust Deed* on the subject property, commonly know as X, legal description attached. *Maker understands that he is taking title to property subject to an underlying Deed of Trust whereby Beneficiary is obligated to pay on the Note, secured by said Deed of Trust at its terms and conditions.
- Beneficiary understands that there is an underlying Note for which the seller is responsible.
- Maker agrees to subordinate his collateral interest through the term of this agreement to any and all underlying Note or Notes whereby the Beneficiary is the Maker under the following two conditions. The Beneficiary's underlying obligations never exceed the outstanding principal owed beneficiary and the

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amount of payment on underlying obligations is never greater than the amount being received by beneficiary.

- *A subordination clause reserves the right to the 1st Position Deed of Trust even after using a substitution of collateral. It's a spacer to hold the position open giving you a tool in the future.*
- *Without a subordination clause, when you move the collateral using a substitution of security clause, the All Inclusive Deed of Trust drops down to 1st position.*
- *If you change the collateral on the original Note, the beneficiary on that note needs to sign a full re-conveyance without satisfaction in favor of a new Deed of Trust encumbering the substitute collateral.*

<u>Protection for Beneficiary</u>

- Maker will provide Beneficiary with proof that each property tax payment is paid on a timely basis by paying 1/12 of the property tax each month to the escrow account for the Note.
  - *Instruct escrow to pay the property tax when due.*
- Beneficiary will be named as loss payee on a home owner's insurance policy where coverage meets or exceeds the amount of outstanding principal balance. Maker will provide Beneficiary with proof that the Beneficiary is a loss payee and proof that each insurance payment is paid on a timely basis by paying 1/12 of the property tax each month to the escrow account for the Note.
  - *Instruct escrow to pay the insurance payment when due.*
- Maker and Beneficiary agree to split the service escrow fees for making Note, property tax and insurance payments on a 50 / 50 basis.
- Maker agrees to submit to a full credit and background check for the Beneficiary's approval.
- If the Maker on the Promissory Note would like to offer said Note to a third party by way of an assumption, the Beneficiary will review the third party's credit and background for approval. Providing that the third party meets reasonable standards, approval will not be withheld. If approved, a one percent (1 percent)

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(*negotiable) assumption fee of the outstanding principle balance will be charged and the third party must assume the Promissory Note at the existing terms and conditions.

- *You may want to have a clause that says upon assumption; you have the ability to re-evaluate the interest rate, especially if you had a fixed rate to with which to begin.*

Attachments:

Attached are blank Promissory Note X and blank Deed of Trust X which are to be filled out in escrow according to the instructions set forth herein.

Legal Description

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